



Intellectual Property Law: Text, Cases, and Materials (4th edn)

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p. 287 5. Passing Off

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Abstract

All books in this flagship series contain carefully selected substantial extracts from key cases, legislation, and academic debate, providing able students with a stand-alone resource. This chapter discusses the protection which the law affords to unregistered trade marks through the tort of passing off. It covers the definition of passing off; the relationship between passing off and unfair competition; the elements of both the classic and the extended form of passing off; the role of customer confusion in passing off and types of confusion, including initial interest confusion as well as reverse passing off; the types of damage resulting for an actionable misrepresentation; and defences to passing off (delay or acquiescence, bona fide use of the defendant's own name, and concurrent use)

Keywords: unregistered trade marks, intellectual property law, intellectual property protection, passing off, tort, unfair competition, goodwill, misrepresentation, damage

5.1 Introduction

5.2 The elements of passing off

5.3 Defences

5.4 Conclusion

5.1 Introduction

Trade marks may be either registered or unregistered. The following chapters will consider the law of registered trade marks. The subject of this chapter is the protection which the law affords to unregistered trade marks through the tort of passing off. According to Lord Oliver in the leading passing off case, 'Jif Lemon':¹ 'The law of passing off can be summarised in one short general proposition—no man may pass off his goods as those of another.'

5.1.1 The Definition of Passing Off

5.1.1.1 The Classic Trinity

In 'Jif Lemon', Lord Oliver set out the three basic elements which are necessary to bring an action for passing off. These have come to be known as the 'classic trinity'.

Lord Oliver, at p. 499:

First, [the claimant] must establish a goodwill or reputation attached to the goods or services which he supplies in the mind of the purchasing public by association with the identifying 'get-up' (whether it consists simply of a brand name or a trade description, or the individual features of labelling or packaging) under which his particular goods or services are offered to the public, such that the get-up is recognised by the public as distinctive specifically of the plaintiff's goods or services. Secondly, he must demonstrate a misrepresentation by the defendant to the public (whether or not intentional) leading or likely to lead the public to believe that goods or services offered by him are the goods or services of the plaintiff.

...

↪ Thirdly, he must demonstrate that he suffers or, in a *quia timet* action that he is likely to suffer, damage by reason of the erroneous belief engendered by the defendant's misrepresentation that the source of the defendant's goods or services is the same as the source of those offered by the plaintiff.

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The 'classic trinity' identified in 'Jif Lemon' as necessary for a passing off action are:

- (1) goodwill;
- (2) a misrepresentation;
- (3) damage or in a *quia timet* action, the likelihood of damage.

5.1.1.2 The 'Advocaat' Definition

Earlier in the 'Advocaat' case,² Lord Diplock had set out the general background to the tort of passing off. He identified five elements which he held must be present in order to bring a passing off action:

Lord Diplock, at pp. 740–2:

The action for what has become known as ‘passing off’ arose in the nineteenth century out of the use in connection with his own goods by one trader of the trade name or trade mark of a rival trader so as to induce in potential purchasers the belief that his goods were those of the rival trader. Although the cases up to the end of the century had been confined to the deceptive use of trade names, marks, letters or other indicia, the principle had been stated by Lord Langdale MR as early as 1842 as being: ‘A man is not to sell his own goods under the pretence that they are the goods of another man’; *Perry v Truefitt*, 6 Beav 66. At the close of the century in *Reddaway v Banham* [1896] AC 199, it was said by Lord Herschell that what was protected by an action for passing off was not the proprietary right of the trader in the mark, name or get-up improperly used. Thus the door was opened to passing off actions in which the misrepresentation took some other form than the deceptive use of trade names, marks, letters or other indicia; but as none of their Lordships committed themselves to identifying the legal nature of the right that was protected by a passing off action it remained an action sui generis which lay for damage sustained or threatened in consequence of a misrepresentation of a particular kind.

[Lord Diplock then set out the facts of *Reddaway v Banham* and noted that the judgment did not extend the type of misrepresentation recognized in passing off beyond that of the ‘classic form’. He continued:]

This was left to be provided by Lord Parker in *Spalding v Gamage* (1915) 32 RPC 273. In a speech which received the approval of the other members of this House, he identified the right the invasion of which is the subject of passing off actions as being the ‘property in the business or goodwill likely to be injured by the misrepresentation’.

...

The goodwill of a manufacturer’s business may well be injured by some-one else who sells goods which are correctly described as being made by that manufacturer but being of an inferior class or quality are misrepresented as goods of his manufacture of a superior class or quality. This type of misrepresentation was held in *Spalding v Gamage* to be actionable and the extension to the nature of the misrepresentation which gives rise to a right of action in passing off which this involved was regarded by Lord Parker as a natural corollary of recognising that what the law protects by a passing off action is a trader’s property in his business or goodwill.

The significance of this decision in the law of passing off lies in its recognition that misrepresenting one’s own goods as the goods of someone else was not a separate genus of actionable wrong but a particular species of wrong included in a wider genus of which a premonitory hint had been given by Lord Herschell in *Reddaway v Banham* when, in speaking of the deceptive use of a descriptive term, he said: ‘I am unable to see why a man should be allowed in this way more than any other to deceive purchasers into the belief that they are getting what they are not, and thus to filch the business of a rival.’

...

Spalding v Gamage led the way to recognition by judges of other species of the same genus, as where although the plaintiff and the defendant were not competing traders in the same line of business, a false suggestion by the defendant that their businesses were connected with one another would damage the reputation and thus the goodwill of the plaintiff's business.

...

My Lords, *Spalding v Gamage* and the later cases make it possible to identify five characteristics which must be present in order to create a valid cause of action for passing off: (1) a misrepresentation (2) made by a trader in the course of trade, (3) to prospective customers of his or ultimate consumers of goods or services supplied by him, (4) which is calculated to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence) and (5) which causes actual damage to a business or goodwill of the trader by whom the action is brought or (in a *quia timet* action) will probably do so.

Also in 'Advocaat', Lord Fraser identified five criteria which should be present for a successful passing off action. Lord Fraser's criteria are generally complementary to those of Lord Diplock, but his do emphasize the importance of goodwill subsisting in England, an issue that will be considered later in this chapter.

Lord Fraser, at p. 755:

It is essential for the plaintiff in a passing off action to show at least the following facts: (1) that his business consists of, or includes, selling in England a class of goods to which the particular trade name applies; (2) that the class of goods is clearly defined, and that in the minds of the public, or a section of the public, in England, the trade name distinguishes that class from other similar goods; (3) that because of the reputation of the goods, there is goodwill attached to the name; (4) that he, the plaintiff, as a member of the class of those who sell the goods, is the owner of goodwill in England which is of substantial value; (5) that he has suffered, or is really likely to suffer, substantial damage to his property in the goodwill by reason of the defendants selling goods which are falsely described by the trade name to which the goodwill is attached. Provided these conditions are satisfied, as they are in the present case, I consider that the plaintiff is entitled to protect himself by a passing off action.

p. 290 The definitions set out by Lord Oliver in 'Jif Lemon' and Lord Diplock in 'Advocaat' are not incompatible. In many cases of passing off, the courts have preferred to adhere to Lord Oliver's 'classic trinity'. What Lord Diplock suggests in 'Advocaat' is that the types of misrepresentation which might give rise to a passing off action are constantly evolving. In some instances, the particular circumstances of a misrepresentation may make the application of Lord Diplock's five elements more appropriate. As Lord Diplock points out, the classic misrepresentation that 'A man is not to sell his own goods under the pretence that they are the goods of another man'³ has now expanded to encompass the situation where the defendant may sell inferior goods as if they were superior,⁴ he may suggest a business connection with the claimant where none exists,⁵ and, as was the case in 'Advocaat' itself, he may claim that his goods are the goods of a limited class of traders, to

which the defendant does not belong. This latter misrepresentation characterizes what has come to be known as the extended form of passing off—and it is in such cases that Lord Diplock’s formulation (together with that of Lord Fraser) might be most usefully applied.⁶

5.1.2 The Relationship between Passing Off and Unfair Competition

In ‘Advocaat’, Lord Diplock expressed his anxiety that an action for passing off might, but should not, be used to hamper legitimate competition. Thus, he took the view that it should not be available in every instance where one trader makes untrue assertions about another’s goods.

Lord Diplock, at p. 742:

In seeking to formulate general propositions of English law, however, one must be particularly careful to beware of the logical fallacy of the undistributed middle. It does not follow that because all passing off actions can be shown to present these characteristics, all factual situations which present these characteristics give rise to a cause of action for passing off. True it is that their presence indicates what a moral code would censure as dishonest trading, based as it is upon deception of customers and consumers of a trader’s wares but in an economic system which has relied on competition to keep down prices and to improve products there may be practical reasons why it should have been the policy of the common law not to run the risk of hampering competition by providing civil remedies to every one competing in the market who has suffered damage to his business or goodwill in consequence of inaccurate statements of whatever kind that may be made by rival traders about their own wares. The market in which the action for passing off originated was no place for the mealy mouthed; advertisements are not on affidavit; exaggerated claims by a trader about the quality of his wares, assertions that they are better than those of his rivals, even though he knows this to be untrue, have been permitted by the common law as venial ‘puffing’ which gives no cause of action to a competitor even though he can show he has suffered actual damage in his business as a result.

p. 291 Despite Lord Diplock’s strictures, in the later case of *Arsenal FC v Reed*,⁷ Aldous LJ opined that the tort of passing off is ‘perhaps best referred to as unfair competition’. Four years later, ↵ in *L’Oréal v Bellure* (2009), Jacob LJ asserted the opposite when he said, ‘So I think the tort of passing off cannot and should not be extended into some general law of unfair competition’.⁸

A proper retort to these statements might be to ask what precisely is meant by a law of unfair competition. Does it mean generally regulating the way traders and consumers interact in the marketplace? If so, then the UK has numerous statutes and regulations, many of which originate in the EU but will be a continuing feature of UK law post-Brexit, which set out to do just that. And, in addition to passing off, there are other torts which might be invoked in instances of dishonest trading, such as defamation and trade libel. Thus, the Competition Act 1998 harmonized domestic law with Articles 101 and 102 of the TFEU, inter alia, regulating anti-competitive agreements and the abuse of a dominant position.⁹ Legislation aimed more directly at providing a remedy for unfair competition in the UK includes the Enterprise Act 2002, as well as the Business Protection from Misleading Marketing Regulations 2008 (BPRs) and the Consumer Protection from Unfair

Trading Regulations 2008 (CPRs). The BPRs are designed to protect traders against unfair trading practices, for example in the area of comparative advertising. The CPRs protect the interests of consumers. Regulation 3 of the CPRs contains a general prohibition against unfair commercial practices. A commercial practice is deemed unfair if it is not professionally diligent and if it materially distorts, or is likely to materially distort, the economic behaviour of the average consumer. Regulations 5 to 7 prohibit misleading and aggressive practices. These are practices which cause or are likely to cause the average consumer to take a different decision. They include practices which might also fall within the remit of passing off. For example, the CPRs regulate misleading information which creates confusion with a competitor's products, trade marks, or any other distinguishing indicia. They also regulate false information about the main characteristics of a product, including for example its composition or its geographical or commercial origin, a misrepresentation which as we shall see falls squarely within the extended form of passing off.

Nonetheless, the reason the UK is often accused of not having a law of unfair competition is because, unlike many other European countries, it does not have a general law against 'misappropriation'. As we saw in Chapter 1, at the heart of misappropriation is the unjust enrichment of one trader who misappropriates the value created by another. For example, in the case of *L'Oréal v Bellure*,¹⁰ which concerned both registered trade mark infringement and passing off, the defendant sold cheap perfumes which it claimed in advertisements were smell-alikes of the claimant's far more expensive and well-known brands. In this case, the claimant neither suffered damage from lost sales, nor were the public deceived into believing the defendant's perfumes were associated with the claimants. The defendant was, however, able to appropriate some of the cachet residing in the claimant's luxury products for its own. Despite this, the claimant failed in its claim for passing off. According to Jacob LJ, 'those who support some wider tort of unfair competition, use the word misappropriation of goodwill to designate it'. He went on:

I wish to state that I think it very unhelpful. We are all against misappropriation, just as we are all in favour of mother and apple pie. To use the word in the context of a debate about the limits of the tort of passing off and its interface with legitimate trade is at best muddling and at worse tendentious.¹¹

p. 292 ↪ Instead, according to Jacob LJ, at the heart of the tort of passing off is a misrepresentation or a deception and neither was present in this case.

It is perhaps worth asking why the UK has not traditionally been sympathetic to laws preventing such misappropriation, given the normative appeal of arguments against unjust enrichment. Does one answer lie in the consistent support which UK courts have given to relatively unfettered markets; support which was clearly expressed in the speech of Lord Diplock in 'Advocaat'? At the end of this chapter we shall return to the question of whether passing off should extend its remit to encompass misappropriation and whether in fact, despite Jacob LJ's statement to the contrary, it has already done so.

Further Reading

R. Arnold, 'English unfair competition law' (2013) 44 *International Review of Intellectual Property and Competition Law* 63.

J. Davis, 'The rule of confusion in unfair competition law: a comparative perspective' in S. Franked (ed.), *Is Intellectual Property Pluralism Functional?* (Cheltenham: Edward Elgar, 2019), p. 129.

P. Johnson and J. Gibson, 'The "new" tort of passing off' (2015) 131 Law Quarterly Review 476.

C. Wadlow, *The Law of Passing-Off: Unfair Competition by Misrepresentation* (London: Sweet & Maxwell, 2016).

5.2 The Elements of Passing Off

5.2.1 Goodwill

5.2.1.1 The Definition of Goodwill

Traditionally, goodwill has been the property protected by a passing off action. As was put by Sir John Mummery in *Starbucks (HK) Ltd v British Sky Broadcasting Group Plc*:¹²

102. First, there is the strong flavour of property in the foundations of the tort of passing off, though not, of course, being the same in all respects as property in land or in things. Although the common law does not recognise any property in the word, mark or sign itself as such, it does recognise that a goodwill, to which the name or mark has become attached in a market, may be entitled to protection from damage inflicted by express or implied misrepresentation.

For a definition of goodwill, courts commonly revert to Lord Macnaghten's famous description in *The Commissioners of Inland Revenue v Muller & Co.'s Margarine*.¹³

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↵ Lord Macnaghten, at pp. 223–4:

It is the benefit and advantage of the good name, reputation and connection of a business. It is the attractive force which brings in custom ... However widely extended or diffused its influence may be, goodwill is worth nothing unless it has the power of attraction sufficient to bring customers home to the source from which it emanates.

In a passing off action, the misrepresentation may result from the improper use of a trader's trade name or other indicia which distinguishes this goodwill. But while passing off will protect a trader's goodwill, it will not necessarily protect a trader's reputation. The two are not synonymous. This was made clear in the *Harrods* case.

***Harrods Ltd v Harrodian School Ltd* [1996] RPC 697**

The claimant owned the Harrods department store. The defendants ran a preparatory school under the name 'The Harrodian School'. The school was on the site of what had previously been 'The Harrodian Club', a sports club run by the claimant but which had closed in 1990. The claimant brought an action for passing off. In the course of the action, it was established that the claimant did not run a school nor did it intend to do so.

Furthermore, the word 'Harroddian' had not been used for 40 or 50 years in the claimant's dealings with customers, although it had been applied to the claimant's employees and some staff associations during that period. In his judgment, Millett LJ acknowledged that the claimant enjoyed 'a long-established reputation and goodwill in the business of a department store, carried on under the name "Harrods"'. He also acknowledged that it offered a 'vast' range of services.

Lord Justice Millett, at p. 702:

The plaintiffs have always been very proud of the name 'Harrods'. They claim that it has come to represent an unsurpassed level of quality in the range of goods and services which they provide. But while their range is of astonishing breadth, it would be a mistake to be dazzled into thinking that the range of the plaintiffs' commercial activities is virtually unlimited, or that they have acquired a reputation for excellence in every field of activity. They are retail suppliers of goods and services of every kind; but that is all. They sell theatre tickets; they do not run a theatre: they supply medical equipment; they do not run a hospital: they act as insurance agents; they do not underwrite policies of insurance: they supply school uniforms; they do not run a school.

[The question then arose whether, given the wide reputation which resided in the name 'Harrods', any use by the defendant of the 'Harrods' name would inevitably trespass on the claimant's goodwill. Lord Justice Millett concluded it would not. He noted that it is goodwill, alone, that is protected by a passing off action:]

At p. 711:

It is this fundamental principle of the law of passing off which leads me to reject the main way in which the plaintiffs have put their case before us. 'Harroddian', they submit, is synonymous with 'Harrods'; the name 'Harrods' is universally recognised as denoting the plaintiffs' business—it has, as counsel put it (borrowing and adapting an expression used by Falconer J in *Lego System A/S v Lego M Lemelstrich Ltd* ('the *Lego* case') [1983] FSR 155 at page 187) an unlimited 'field of recognition'; the defendants were, therefore, unarguably guilty of misrepresenting their business as that of the plaintiffs; given the huge number of persons who are customers or potential customers of the plaintiffs it is a simple matter to infer that an appreciable number of them will be deceived into thinking that 'The Harroddian School' is owned by or otherwise connected in some way with Harrods; and damage may likewise easily be inferred. But in referring to the possibility of a plaintiff having only 'a limited field of recognition', Falconer J was referring to the limited field of commercial activity with which the plaintiff's reputation was associated by the public; he was not referring to the extent to which the plaintiff's reputation in that limited field was familiar to the public. The name 'Harrods' may be universally recognised, but the business with which it is associated in the minds of the public is not all embracing. To be known to everyone is not to be known for everything.

The claimant failed in its action for passing off. Harrods is obviously a widely known name. Do you think Millett LJ was correct to assert that customers or potential customers of the store would assume it was not connected with the school? Or is the Harrods store sufficiently famous so if any other business traded under

that name, consumers would inevitably assume a connection with the store? This was the conclusion reached by Kerr LJ in a dissenting judgment and it raises the issue of whether goodwill can reside in the value of the name alone, not just the underlying business.¹⁴

5.2.1.2 The Location of Goodwill

To bring a passing off action, goodwill must be situated in the UK. It is worth remembering that having a reputation in the UK is not the same as having goodwill. This principle is clearly demonstrated by the Court of Appeal decision in the 'Budweiser' case.¹⁵ In this case, the American brewers of Budweiser beer brought a passing off action against the defendants who supplied beer under the name 'Budweiser' in the UK. Although it was accepted that the American 'Budweiser' beer was well known in the UK, the claimant supplied its beer only to US army bases. In the Court of Appeal, Oliver LJ held that the claimants did not have the goodwill necessary for a passing off action. He noted that it is not possible to assume 'the existence of the goodwill apart from the market, and that, as it seems to me, is to confuse goodwill, which cannot exist in a vacuum, with mere reputation which may, no doubt, and frequently does, exist without any supporting local business, but which does not by itself constitute a property which the law protects'.¹⁶

p. 295 In 'Budweiser', Oliver LJ held that the claimant must have a 'market' in the UK for its goods to have the requisite goodwill. The question then arises as to what constitutes the relevant market. In the early case of *Alain Bernardin et Cie v Pavilion Propriété*¹⁷ the claimants, who carried on a restaurant business in Paris under the title 'The Crazy Horse Saloon', had for many years advertised their establishment by publicity material distributed to tourist organizations and hotels in the UK. They failed to restrain the defendants from carrying on a restaurant in London under the same name because the court held that a trader could not acquire goodwill without some sort of use in the UK. By merely advertising, a foreign trader might acquire a reputation in the UK but not the requisite domestic goodwill. The 'Crazy Horse' decision suggested that for goodwill to subsist in services, the claimant must not only have customers in the UK but also a place of business. However, in the 1993 'Hit Factory' decision¹⁸ Browne Wilkinson V-C held that the reasoning in 'Crazy Horse' did not reflect modern trading realities. In the 'Hit Factory', the claimants (PWL) were a successful record-producing organization, known to the public as 'The Hit Factory', which had released three compilation albums titled 'The Hit Factory'. The defendant owned a recording studio in London and had entered into a joint venture agreement with a studio in New York, known as 'The Hit Factory' to use its name for the London studio. The New York studio, which had traded since 1970, had an international reputation and clientele, including many from the UK. However, all services rendered by the New York studio had been rendered in New York and it had no agent or place of business in the UK. The claimants brought an action for passing off. In response the defendant argued that it had established its own goodwill in the UK on the basis of its UK customers. In his judgment, Brown-Wilkinson V-C noted that in contemporary society there were worldwide markets for goods and services. In part, this was because of the rise of radio, television, and electronic communications, which allowed advertising across national frontiers. International travel was also far easier. As a result, he believed that when a foreign trader has customers in the UK, the English courts should protect their goodwill with those customers. The Vice-Chancellor noted (at p. 50) that in the earlier case law, 'there is no reference to the local situation of the goodwill being important. The critical questions have been (a) the use of the name in this country and (b) the presence of customers here'. And he concluded:

‘The Hit Factory Inc. has had a substantial number of customers here, it would have been entitled to protect its name here against third parties and is therefore entitled to continue to use its name here concurrently with PWL even if, contrary to my view, PWL has itself acquired a goodwill in the name.’

When Browne-Wilkinson V-C heard the ‘Hit Factory’ case, the internet had not yet become the universal trading platform that it is today. However, his approach was confirmed by the Court of Appeal in *Hotel Cipriani v Cipriani (Grosvenor Street)* which concerned advertising and the internet.

***Hotel Cipriani v Cipriani (Grosvenor Street)* [2010] EWCA Civ 110**

p. 296 The Hotel Cipriani is a ‘famous and luxurious’ hotel in Venice. There is also a well-known bar in Venice named Harry’s Bar. Both of these enterprises were founded by Giuseppe Cipriani in the early 20th century. However, by the time of these proceedings, ownership had divided. The hotel is now owned by the claimant company, which has no connection to the family. The bar is run by a company controlled by the founder’s grandsons. The latter company has a number of restaurants in New York operating under the ‘Cipriani’ name and modelled on Harry’s Bar. In 2004, the defendants opened a similar bar in London under the name ‘Cipriani London’ (or ‘Cipriani’ for short). The claimants, who have a registered community trade mark (EUTM), ‘Cipriani’, sued for both trade mark infringement and passing off. They succeeded in both actions in the High Court and the defendants appealed. One basis for the appeal was the defendants’ contention that contrary to the findings of Arnold J in the High Court, the claimants did not have the requisite goodwill in the UK to bring an action for passing off. Another was that, alternatively, both they and the claimants had sufficient concurrent goodwill in their respective enterprises, so that when the defendants started trading, they could not be found liable for passing off. After rehearsing the earlier authorities and endorsing Browne-Wilkinson V-C’s judgment in the ‘Hit Factory’ case, Lloyd LJ identified the key question in this case as ‘what is necessary for the reputation of a business abroad and its mark to qualify as goodwill in this country’.¹⁹ He then identified two subsidiary questions: is what the claimant can show sufficient and, if it is, why is what the defendant can show not sufficient? He then set out his answer:

117. In ‘Budweiser’ in relation to sales of beer, the court regarded it as necessary that, in addition to an international reputation, there should have been significant sales of the product in this country. How does the matter stand when one is considering not goods but services?

[Lloyd LJ then considered the suggestion made by Wadlow in *The Law of Passing-off* (3rd edn, 2004), at para. 3–80 that the test for whether services supplied abroad have generated domestic goodwill might be whether English residents are prepared to travel abroad to use them. He continued:]

118. That is an interesting proposition which might provide a suitable line of distinction between businesses abroad with a genuinely international reputation and clientele, on the one hand, and those which have English customers abroad, and therefore may be known of in this country, but whose reputation here does not in practice bring in significant custom from the public in England. However, it does not seem to me that it is necessary or appropriate to adopt a general principle such as that in order to decide this appeal. Like the judge, I would hold that the First Claimant did have goodwill here on the basis that, in April 2004 (the relevant moment for passing-off) it had a substantial reputation in England and a substantial body of customers from England, in part as a result of significant marketing efforts directed at the relevant public here, and a significant volume of business was placed directly from this country, either by individual clients by telephone or the like, or via travel agents or tour operators. On that basis it seems to me clear that the international reputation of Hotel Cipriani, and the use of the mark Cipriani, was something that brought in business from England—it was an attractive force that brought in English custom—and accordingly the business had goodwill in England at the relevant time.

119. Turning then to the Defendants and the Cipriani group, on the judge’s findings the Defendants showed that Harry’s Bar had a significant number of English customers, and that it had a substantial reputation in England, but not that it had a sufficient association with the mark Cipriani. That, therefore, could not justify a finding of goodwill in England in relation to the Cipriani mark.

120. As for the New York Cipriani restaurants, despite some slight reputation in England, they failed to prove any significant English custom at the relevant time. The evidence relied on by the Defendants in this respect, to which I have referred at paragraph [47] above, was very limited and indirect, and I am not surprised that the judge found it of little assistance or persuasive weight. That too, therefore, is inadequate to show that the name Cipriani brought in any worthwhile English custom to the Cipriani restaurants in New York.

↵ 121. It seems to me that it must be necessary to show more than this in order to establish goodwill in England for a mark used by a business based abroad for services which it supplies abroad. Therefore, whatever test might be applied to determine whether a business supplying services abroad which has a reputation in England also has goodwill in England, the Defendants do not satisfy it.

[Lloyd LJ went on to confirm the High Court’s decision that while the claimants had goodwill in the UK, the defendants did not and that the passing off action should succeed. He then noted *obiter* how the test for domestic goodwill might have to be revisited in the future.]

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124. It is fair to say that, especially in the circumstances of the present day, with many establishments worldwide featuring on their own or shared websites, through which their services and facilities can be booked directly (or their goods can be ordered directly) from anywhere in the world, the test of direct bookings may be increasingly outmoded. It would be salutary for the test to be reviewed in an appropriate case. However, it does not seem to me that this case offers a suitable opportunity. I therefore decide the case on the basis indicated above, without wishing to prejudice an argument in a later case that the true test may be wider, other than to the extent of my decision that, whatever the exact test may be, the Defendants do not pass it.

In ‘Hotel Cipriani’, the Court of Appeal recognized that customers or their agents are now quite likely to make direct bookings with overseas service providers, such as hotels, and this practice might provide sufficient domestic goodwill. Lloyd LJ noted, however, that the test might change again in recognition of the increasing number of bookings for overseas services, which are made via websites.

5.2.1.3 The Relationship between a Reputation, Goodwill, and Location

In considering goodwill thus far, it is clear that there are three fundamental and related questions which may arise in an action for passing off, especially one which involves overseas commerce. These are: how to differentiate between reputation and goodwill; whether it is necessary to have actual goodwill in the UK to bring an action for passing off; and, third, how is one to assess the extent of that goodwill. The Supreme Court addressed all three of these questions in *Starbucks (HK) Ltd v British Sky Broadcasting Group Plc*. It did so fully conscious that the advent of the internet has fundamentally changed how we now do business.

***Starbucks (HK) Ltd v British Sky Broadcasting Group Plc* [2015] UKSC 31**

The claimants, PCCM, supply a closed circuit internet television (IPTV) subscription service in Hong Kong, which has operated under the name ‘NOW TV’ since 2006. It has approximately 1.2 million subscribers and provides 200 channels, many with names including the word ‘NOW’. The vast majority of its programmes are in Mandarin or Cantonese. The service cannot be received nor have any set top boxes been supplied in the UK. There are no subscribers to NOW TV with UK billing addresses. And PCCM has never held an OFCOM licence for UK broadcasting. Nonetheless, many Chinese-speaking residents of the UK would be aware of NOW TV, either through its Hong Kong service or because, since 2007, NOW TV Chinese content has been available on PCCM’s website, its YouTube ‘channel’, and as video on demand on flights to the UK. PCCM has also been considering expanding its service into the UK, launching a NOW TV app which by October 2012 had been downloaded by 2,200 people. In July 2012, the defendants, collectively known as Sky, launched an IPTV service named ‘NOW TV’, available across all internet platforms. The claimants sued for passing off. PCCM argued that they had both a reputation in this country with those who might subscribe to its service in Hong Kong and it also had customers in this country because of the significant number of people who were exposed to its programmes on its website and on some international flights. The lower courts disagreed and PCCM appealed. On appeal, PCCM made the additional argument that even if it were held that they did not have customers in this country, the Supreme Court should acknowledge that in an age of e-commerce it is both impractical and unrealistic to treat goodwill as limited only to jurisdictions where a trader has customers and should instead allow a passing off action where the trader has a reputation but no goodwill. This was

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particularly the case, PCCM argued, in relation to electronically communicated services and should apply even if, as in this instance, users did not actually pay for such services. In his judgment, Lord Neuberger reiterated that to find passing off the three elements identified by Lord Oliver in 'Jif Lemon' must be present. He then identified the focus of the appeal in this case as being on the first element: 'namely the requirement that PCCM must establish what Lord Oliver referred to as "a goodwill or reputation attached to the goods or services which he supplies in the mind of the purchasing public by association" with the relevant "get-up", viz. the mark NOW TV with PCCM's IPTV service.'²⁰ Lord Neuberger noted that the lower courts had found that it had been insufficient for PCCM to show that it had a reputation among 'a significant number of people' in the UK, if it had no goodwill. He then affirmed, citing *Budweiser* as authority, the need for a claimant to demonstrate that its goodwill is situated in the UK, in the form of custom for its goods and services, in order to succeed in passing off. Accepting that PCCM had made a strong argument, Lord Neuberger nonetheless found for the defendants:

Lord Neuberger:

47. ... I have reached the conclusion that this appeal should be dismissed on the same ground on which it was decided in the courts below. In other words, I consider that we should reaffirm that the law is that a claimant in a passing off claim must establish that it has actual goodwill in this jurisdiction, and that such goodwill involves the presence of clients or customers in the jurisdiction for the products or services in question. And, where the claimant's business is abroad, people who are in the jurisdiction, but who are not customers of the claimant in the jurisdiction, will not do, even if they are customers of the claimant when they go abroad.

Lord Neuberger also declined to accept the claimant's suggestion that the court jettison the idea that claimants, with an online presence, must necessarily establish goodwill as opposed to a mere reputation in the relevant jurisdictions. He acknowledged that the court certainly had the power to adapt the common law to changed 'practical or commercial realities', if it chose.²¹ But he held that he would not depart from the 'hardline approach' adopted in UK cases. He took this view not least because he believed that changing the law in this way could undermine legal certainty. However, he believed that two related aspects of the case required further elucidation. These were: what constitutes sufficient business to give rise to goodwill; and whether that goodwill has to be in England.

52. As to what amounts to a sufficient business to amount to goodwill, it seems clear that mere reputation is not enough, as the cases cited in paras 21–26 and 32–36 above establish. The claimant must show that it has a significant goodwill, in the form of customers, in the jurisdiction, but it is not necessary that the claimant actually has an establishment or office in this country. In order to establish goodwill, the claimant must have customers within the jurisdiction, as opposed to people in the jurisdiction who happen to be customers elsewhere. Thus, where the claimant's business is carried on abroad, it is not enough for a claimant to show that there are people in this jurisdiction who happen to be its customers when they are abroad. However, it could be enough if the claimant could show that there were people in this jurisdiction who, by booking with, or purchasing from, an entity in this country, obtained the right to receive the claimant's service abroad. And, in such a case, the entity need not be a part or branch of the claimant: it can be someone acting for or on behalf of the claimant. That is why, as explained in *Athlete's Foot*, the decision in *Panhard et Levassor* and the observations in *Pete Waterman* are compatible with the decision in *Alain Bernardin*.

53. As to Lord Diplock's statement in *Star Industrial* that, for the purpose of determining whether a claimant in a passing off action can establish the first of Lord Oliver's three elements, an English court has to consider whether the claimant can establish goodwill in England, I consider that it was correct. In other words, when considering whether to give protection to a claimant seeking relief for passing off, the court must be satisfied that the claimant's business has goodwill within its jurisdiction.

54. It would be wrong to suggest that there is a rule of law that, whatever the point at issue, goodwill has to be divided between jurisdictions, not least because (unsurprisingly) we have not had an exhaustive analysis of all the circumstances in which goodwill may have to be considered by the court. However, it seems to me that, when it comes to a domestic, common law issue such as passing off, an English court has to consider the factual position in the UK. That is well illustrated by the fact that, even if PCCM's argument was accepted and it was enough for a claimant merely to establish a reputation, that reputation would still have to be within the jurisdiction.

55. The notion that goodwill in the context of passing off is territorial in nature is also supported by refusal of judges to accept that a court of one jurisdiction has power to make orders in relation to the goodwill in another jurisdiction. I have in mind the decisions of the House of Lords in *Lecouturier v Rey* [1910] AC 262, 265 per Lord Macnaghten, with whom Lord Atkinson and Lord Collins agreed, and at pp 269–272 per Lord Shaw of Dunfermline, and the Privy Council in *Ingenohl v Wing On & Co (Shanghai) Ltd* (1927) 44 RPC 343, 359–360, per Viscount Haldane giving the advice of the Board. The territorial approach to goodwill is also apparent in the context of trade marks in *RJ Reuter Co Ltd v Mulhens* [1954] Ch 50, 89 and 95–96 (per Lord Evershed MR and Romer LJ respectively) and *Adrema Werke Maschinenbau GmbH v Custodian of Enemy Property* [1957] RPC 49, 54–55 and 59 (per Lord Evershed MR and Jenkins LJ). It is also worth mentioning that article 6 of the Paris Convention for the Protection of Industrial Property 1883 (last revised 1967 and last amended 1979) states, in para (1) that 'registration of trademarks shall be determined in each country ... by its domestic legislation', and in para (3) that a duly registered mark is to be 'regarded as independent of marks registered in other countries of the Union'.

↵ 56. My view on the two issues discussed in paras 49–53 above is supported by a brief extract from Lord Fraser’s speech in *Erven Warnink* at p 755, where he said that ‘the meaning of the name in ... countries other than England is immaterial because what the court is concerned to do is to protect the plaintiffs’ property in the goodwill attaching to the name in England and it has nothing to do with the reputation or meaning of the name elsewhere’.

Lord Neuberger also thought it relevant that the CJEU in relation to registered trade mark law had adopted a similar approach, for example holding that genuine use of a registered trade mark necessitated the commercial exploitation of the mark in order to establish an actual market share. He then went on to say that maintaining that there is a difference between goodwill and reputation could lead to ‘difficult decisions’. But he believed that there would be ‘more unfairness’ if he were to find for PCCM rather than for the defendant. Finally, Lord Neuberger identified an overriding public interest concern which he believed justified the current approach which stipulated the need for goodwill rather than a mere reputation to establish passing off.

61. It is also necessary to bear in mind the balancing exercise underlying the law of passing off, which Somers J described in *Dominion Rent A Car* at p 116 as ‘a compromise between two conflicting objectives, on the one hand the public interest in free competition, on the other the protection of a trader against unfair competition by others’. More broadly, there is always a temptation to conclude that, whenever a defendant has copied the claimant’s mark or get-up, and therefore will have benefitted from the claimant’s inventiveness, expenditure or hard work, the claimant ought to have a cause of action against the defendant. Apart from the rather narrower point that passing off must involve detriment to the claimant, it is not enough for a claimant to establish copying to succeed. All developments, whether in the commercial, artistic, professional or scientific fields, are made on the back of other people’s ideas: copying may often be an essential step to progress. Hence, there has to be some balance achieved between the public interest in not unduly hindering competition and encouraging development, on the one hand, and on the other, the public interest in encouraging, by rewarding through a monopoly, originality, effort and expenditure—the argument which is reflected in Turner LJ’s observation at p 312 in *Maxwell v Hogg* to the effect that a plaintiff who has merely advertised, but not marketed, his product, has given no consideration to the public in return for his claimed monopoly. In the instant case, the assessment of the appropriate balance between competition and protection, which arises in relation to any intellectual property right, must be made by the court, given that passing off is a common law concept.

62. If it was enough for a claimant merely to establish reputation within the jurisdiction to maintain a passing off action, it appears to me that it would tip the balance too much in favour of protection. It would mean that, without having any business or any consumers for its product or service in this jurisdiction, a claimant could prevent another person using a mark, such as an ordinary English word, ‘now’, for a potentially indefinite period in relation to a similar product or service. In my view, a claimant who has simply obtained a reputation for its mark in this jurisdiction in respect of his products or services outside this jurisdiction has not done enough to justify granting him an effective monopoly in respect of that mark within the jurisdiction.

63. I am unpersuaded that PCCM’s case is strengthened by the fact that we are now in the age of easy worldwide travel and global electronic communication. While I accept that there is force in the point that the internet can be said to render the notion of a single international ↵ goodwill more attractive, it does not answer the points made in paras 51–59 above. Further, given that it may now be so easy to penetrate into the minds of people almost anywhere in the world so as to be able to lay claim to some reputation within virtually every jurisdiction, it seems to me that the imbalance between protection and competition which PCCM’s case already involves (as described in paras 60–62 above) would be exacerbated. The same point can be made in relation to increased travel: it renders it much more likely that consumers of a claimant’s product or service abroad will happen to be within this jurisdiction and thus to recognise a mark as the claimant’s. This would mean, if PCCM’s case were correct, it would mean that a claimant could shut off the use of a mark in this jurisdiction even though it had no customers or business here, and had not spent any time or money in developing a market here—and did not even intend to do so.

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Lord Neuberger's reasoning in *Starbucks* has been questioned. According to David Brophy,²² its definition of 'customers' is too narrow:

However, the *Starbucks* decision is disappointing in its conservative approach to 'customers'. It is respectfully suggested that the decision does not satisfactorily explain why a UK intermediary is required for a UK resident to be a 'customer' of a foreign business. If someone in the UK is prepared to seek out and provide custom to a foreign business it appears artificial to hold that the business has no goodwill.

The most cited definition of goodwill is the 'attractive force which brings in custom'. Goodwill is the 'attractive force' in this definition, not the 'custom' itself or the (implied) destination towards which the force draws that custom. Attractive forces are not limited by borders, and imposing artificial requirements such as the need to book locally seems to add nothing positive to the cause of action, while potentially denying the remedy of passing-off to companies which do enjoy significant UK goodwill and custom.

Others have suggested that the requirement for a claimant to have more than a reputation in the UK constitutes an ultimately futile attempt to close the floodgates of global commerce which the internet has opened. Or do you agree with Lord Neuberger that accepting mere reputation rather than actual goodwill would allow a trader to monopolize an ordinary English word such as 'now' against its use by third parties? And that this monopoly might arise, particularly in the context of the internet, without the necessity of the trader committing the time and resources to developing an actual market, and hence goodwill, in any particular jurisdiction?

5.2.1.4 Local Goodwill

Within the UK, goodwill may be local rather than national. For example, in *Associated Newspapers, Daily Mail and General Trust v Express Newspapers*,²³ it was held sufficient that the publishers of the *Daily Mail* had goodwill in London and the south-east of England in order to stop publication of the defendant's local newspaper, the *London Evening Mail*. ↵ However, the local nature of the claimant's goodwill may affect the reach of any subsequent injunction circumscribing the defendant's trading activities.²⁴

5.2.1.5 The Timing of Goodwill

Goodwill may arise before a trader has begun trading. In *My Kinda Bones v Dr Pepper*, the claimant, trading as the Chicago Rib Shack, was able to persuade the court that its business had generated sufficient goodwill for a passing off action through a pre-launch advertising campaign.²⁵ Goodwill may also be abandoned²⁶ or conversely it may survive even after the cessation of a business. According to Arnold J in *Maslyukov v Diageo Distilling Ltd*,²⁷ 'the test is whether the relevant business has been abandoned so as to destroy the goodwill. Mere cessation of business is not enough'.²⁸ Hazel Carty has suggested that the test as to whether goodwill survives the cessation of a business is a multifactorial one and includes looking at the length of non-use, the size of the reputation before cessation of trading, whether the goods or services continue to have public

recognition, and whether the purported owner of the goodwill has taken action to nurture its reputation.²⁹ One question raised by such cases is what damage might be suffered by a claimant who is not actively pursuing their business. The attitude of the court has been that the value of goodwill may derive not simply from its present use, but also any advantage that it may give to a claimant's future business plans. This point is illustrated by the decision in *Jules Rimet (JRCL) v The Football Association (FA)*.³⁰ The case concerned 'World Cup Willie', a cartoon lion dressed in a Union flag shirt, which the Football Association had created for the 1966 World Cup. Although it was very popular at the time, the FA did not continue to exploit the mascot. In 2005, JRCL sought to register the mascot's name and image as trade marks. In turn, the FA successfully opposed the application on the basis that it owned the goodwill in the name 'World Cup Willie'. Mr Roger Wyand QC, after considering the claimant's evidence which included references to the mascot in the press 'from time to time' and the 'odd' approach from traders seeking a licence, concluded that there was sufficient residual goodwill in the mascot for an action in passing off. There have been a number of cases where goodwill has been held to survive over lengthy periods without use but this is perhaps a record.³¹ What distinguishes this case, it might be argued, is that JRCL made the decision to adopt the word and design marks in 2005 precisely because they still embodied valuable goodwill. On that basis, once it was held that the FA owned the goodwill in 1966, it would seem difficult to argue convincingly that it had now dissipated.

Further Reading

H. Carty, 'The dissipation of goodwill in the tort of passing off: an analysis' (2015) 3 Intellectual Property Quarterly 177.

J. Davis, 'The continuing importance of local goodwill in passing off' (2015) 74 Cambridge Law Journal 419.

K. H. F. Kwok, 'Protection of a reputable foreign trader's legitimate interests under the law of passing-off' (2016) 132 Law Quarterly Review 186.

C. W. Ng, 'Goodwill without borders' (2018) 134 Law Quarterly Review 285.

E.K.Oke, 'Image rights and passing off: should reputation be enough for celebrities to succeed in English Courts?' (2020) 15 Journal of Intellectual Property Law & Practice 49.

p. 303 5.2.1.6 The Definition of a Trader

In order to bring a passing off action, the claimant must be a 'trader', for it is only a trader who will have ownership of the requisite goodwill.³² In this context, 'trader' has been given a very wide definition by the courts. Claimants in passing off actions have included a famous diarist (Alan Clark),³³ ballroom dancers,³⁴ and a racing car driver, Eddie Irvine, whose goodwill resided in his business of endorsing products.³⁵ Trade associations, such as the Society of Accountants and Auditors, have been held to have the necessary goodwill to bring a passing off action,³⁶ as have non-profit and charitable organizations such as the Law Society,³⁷ the British Legion,³⁸ and a state-run community college.³⁹ Political organizations may also have goodwill. The Court of Appeal held that the Countryside Alliance, a non-profit political organization, which had never put up a candidate for election, could succeed in a passing off action against a former member of the far-right British National Party, who ran for Parliament describing himself on the ballot paper as 'Countryside

Alliance'. The Countryside Alliance had significant trading activities designed to generate revenue for campaigning and lobbying. The claimants gave evidence that the reputation of the Alliance would be damaged by association with somebody with perceived racist views.⁴⁰ During the course of the action, the question arose as to whether the Alliance, being a non-commercial organization, could be said to have the requisite goodwill. According to Brooke LJ:⁴¹

61. ... This line of authority shows that a claimant in a passing off action may be a charitable organisation or a professional institution which does not carry on commercial activity in the ordinary sense of the word, but which has unquestionably in the eyes of the law a valuable property in the sense of its goodwill which it is entitled to protect by bringing a passing off action if the three classic ingredients of a passing off action are present.

p. 304 5.2.1.7 The Ownership of Goodwill

Goodwill is property. As such it can be sold or assigned. It cannot, however, be separated from the business to which it attaches. This was made clear by Lord Diplock in *Star Industrial Company Ltd v Yap Kwee Kor*.⁴²

Lord Diplock, at p. 269:

Goodwill, as the subject of proprietary rights, is incapable of subsisting by itself. It has no independent existence apart from the business to which it is attached. It is local in character and divisible; if the business is carried on in several countries a separate goodwill attaches to it in each. So when the business is abandoned in one country in which it has acquired a goodwill, the goodwill in that country perishes with it although the business may continue to be carried on in other countries.

There may be more than one owner of goodwill. In a partnership or a joint venture, goodwill may be shared. In *Fine & Country Ltd v Okotoks Ltd*,⁴³ it was suggested the goodwill might be shared between a licensor and licensee. It might also be shared by the owners of a business which has been divided, for instance between the founder's heirs (*Sir Robert McAlpine Ltd v Alfred McAlpine Plc*).⁴⁴ Alternatively, a number of traders may have goodwill in the same mark, such as the title 'mail' which is commonly attached to newspapers (*Associated Newspapers v Express Newspapers* [2003] FSR 51). Goodwill may also be shared between traders in goods which have distinctive characteristics in common, such as champagne, advocaat, and Swiss chocolate. In these circumstances, passing off may arise when the defendant misrepresents its own goods as sharing these characteristics. Such actions have come to be known as the extended form of passing off.

5.2.1.8 Shared Goodwill/the Extended Form of Passing Off

It has been argued, by at least one observer,⁴⁵ that the novelty which characterizes the extended form of passing off is that it is not concerned with an 'origin misrepresentation' but rather 'product misrepresentation'. In other words, the defendant does not misrepresent its goods as originating from a particular source, but rather it misrepresents the fact that its goods share the same characteristics as a certain category of goods. The extended form of passing off has commonly been associated with names of alcoholic

drinks, since the first ‘modern’ case which involved the defendant selling a Spanish sparkling wine as ‘Spanish champagne’.⁴⁶ Later cases involved sherry⁴⁷ and whisky.⁴⁸ In more recent times, it has expanded to include other products, such as chocolate.⁴⁹ It is ‘Advocaat’ which provides the authoritative definition of the extended form of passing off. In this case, Lord Diplock set out the circumstances in which a limited class of traders might share the goodwill in a particular product.

p. 305 ***Erven Warnink BV v J. Townend & Sons (Hull) Ltd* [1979] AC 731**

The first claimants and other Dutch traders had for many years manufactured in the Netherlands a liquor called ‘advocaat,’ which was exported to Britain and distributed by the second claimants. The essential ingredients were the spirit brandewijn, egg yolks, and sugar as required by statutory regulations in the Netherlands, though the British regulations were not so specific. The liquor acquired a substantial reputation in Britain as a distinct and recognizable beverage. From 1974, a drink described as ‘Keeling’s Old English Advocaat’ composed of dried egg powder mixed with Cyprus sherry was made and marketed in England by the defendants. Though it could not be shown that it was mistaken for Dutch advocaat, it captured a substantial part of the claimants’ English market. In the passing off action in the High Court, Goulding J gave judgment for the claimants. The Court of Appeal reversed his decision and the case reached the House of Lords. Having set out the facts of the case and the general background to passing off, Lord Diplock first turned to the ‘Champagne’ case.

Lord Diplock, at p. 743:

The Champagne case came before Danckwerts J in two stages: the first (reported at [1960] RPC 16) on a preliminary point of law, the second (reported at [1961] RPC 116) on the trial of the action. The assumptions of fact on which the legal argument at the first stage was based were stated by the judge to be:

- (1) The plaintiffs carry on business in a geographical area in France known as Champagne;
- (2) the plaintiffs' wine is produced in Champagne and from grapes grown in Champagne;
- (3) the plaintiffs' wine has been known in the trade for a long time as 'Champagne' with a high reputation;
- (4) members of the public or in the trade ordering or seeing wine advertised as 'Champagne' would expect to get wine produced in Champagne from grapes grown there; and
- (5) the defendants are producing a wine not produced in that geographical area and are selling it under the name of 'Spanish Champagne'.

These findings disclose a factual situation (assuming that damage was thereby caused to the plaintiffs' business) which contains each of the five characteristics which I have suggested must be present in order to create a valid cause of action for passing off. The features that distinguished it from all previous cases were (a) that the element in the goodwill of each of the individual plaintiffs that was represented by his ability to use without deception (in addition to his individual house mark) the word 'Champagne' to distinguish his wines from sparkling wines not made by the champenois process from grapes produced in the Champagne district of France, was not exclusive to himself but was shared with every other shipper of sparkling wine to England whose wines could satisfy the same condition and (b) that the class of traders entitled to a proprietary right in 'the attractive force that brings in custom' represented by the ability without deception to call one's wines 'Champagne' was capable of continuing expansion, since it might be joined by any future shipper of wine who was able to satisfy that condition. My Lords, in the Champagne case the class of traders between whom the goodwill attaching to the ability to use the word 'Champagne' as descriptive of their wines was shared was a large one, 150 at least and probably considerably more, whereas in the previous English cases of shared goodwill the number of traders between whom the goodwill protected by a passing off action was shared had been two ...

...

↩ At p. 744:

It seems to me, however, as it seemed to Danckwerts J, that the principle must be the same whether the class of which each member is severally entitled to the goodwill which attaches to a particular term as descriptive of his goods, is large or small. The larger it is the broader must be the range and quality of products to which the descriptive term used by the members of the class has been applied, and the more difficult it must be to show that the term has acquired a public reputation and goodwill as denoting a product endowed with recognisable qualities which distinguish it from others of inferior reputation that compete with it in the same market. The larger the class the more difficult it must also be for an individual member of it to show that the goodwill of his own business has sustained more than minimal damage as a result of deceptive use by another trader of the widely shared descriptive term. As respects subsequent additions to the class, mere entry into the market would not give any right of action for passing off; the new entrant must have himself used the descriptive term long enough on the market in connection with his own goods and have traded successfully enough to have built up a goodwill for his business.

For these reasons the familiar argument that to extend the ambit of an actionable wrong beyond that to which effect has demonstrably been given in the previous cases would open the floodgates or, more ominously, a Pandora's box of litigation leaves me unmoved when it is sought to be applied to the actionable wrong of passing off.

I would hold the Champagne case to have been rightly decided and in doing so would adopt the words of Danckwerts J where he said (at [1960] RPC 31):

There seems to be no reason why such licence (*sc.* to do a deliberate act which causes damage to the property of another person) should be given to a person competing in trade, who seeks to attach to his product a name or description with which it has no natural association, so as to make use of the reputation and goodwill which has been gained by a product genuinely indicated by the name or description. In my view, it ought not to matter that the persons truly entitled to describe their goods by the name and description are a class producing goods in a certain locality, and not merely one individual. The description is part of their goodwill and a right of property. I do not believe that the law of passing off, which arose to prevent unfair trading, is so limited in scope.

...

At p. 747:

Of course it is necessary to be able to identify with reasonable precision the members of the class of traders of whose products a particular word or name has become so distinctive as to make their right to use it truthfully as descriptive of their product a valuable part of the goodwill of each of them; but it is the reputation that that type of product itself has gained in the market by reason of its recognisable and distinctive qualities that has generated the relevant goodwill. So if one can define with reasonable precision the type of product that has acquired the reputation, one can identify the members of the class entitled to share in the goodwill as being all those traders who have supplied and still supply to the English market a product which possesses those recognisable and distinctive qualities.

p. 307 In 'Advocaat', Lord Diplock made it clear that the extended form of passing off is not confined to goods produced in a particular geographical area. In the later 'Chocosuisse' case,⁵⁰ the class of goods at issue was Swiss chocolate. A question raised in the High Court was whether descriptive words, such as these, could embody goodwill in the same manner as designations such as 'champagne' or 'Advocaat'. It was held that the words 'Swiss chocolate' were clearly descriptive. However, evidence from members of the public and the relevant trade sector showed that the words indicated a smoother chocolate, of high quality, and of Swiss origin. As a result, the words 'Swiss chocolate' had acquired in England a distinct reputation and manufacturers of Swiss chocolate shared the goodwill which attached to those words.

The question of which type of goods might be the subject of an action brought under the extended form of passing off was revisited in *Diageo v Intercontinental Brands*.

***Diageo North America Inc. v Intercontinental Brands (ICB) Ltd* [2010] EWCA Civ 920**

The defendants manufactured a mixed drink, containing vodka, which was sold under the name 'VODKAT'. The claimant, one of the world's leading producers of alcoholic drinks, including vodka, sued for passing off. At the time of the trial, vodka was the highest selling alcoholic beverage in the UK, while 'Vodkat' had been on the market for over four years and had sold at least 13 million bottles. Diageo claimed that by marketing its drink under the name 'VODKAT', the defendant was misrepresenting to the public that it was vodka. In its defence, ICB argued not only that the extended form of passing off was meant only to apply to products which had 'cachet' but also that the product 'vodka' did not denote a sufficiently precisely defined class of goods to be the subject of a passing off action. In the High Court, Arnold J found that there had been passing off. The defendants appealed on the issue of goodwill and the claimants cross-appealed on the issue of the form of the injunction given. In the Court of Appeal, Patten LJ considered whether vodka was sufficiently clearly defined to be the subject of a passing off action. He suggested that like whisky, vodka fell into the category, defined by Wadlow in *The Law of Passing Off*, as 'generic terms with well-defined meanings, which may consequently be protected despite the fact that they are not distinctive in the traditional sense of denoting a specific producer'. Patten LJ continued:

26. Vodka and whisky fall into this category. Although they do not denote and are not derived from any particular geographical location, they have, as a matter of language, come to be used to describe particular types of spirit distilled in a particular way. To that extent they are no different in descriptive terms from the other examples of well-known commodities relied on by Mr Wyand such as beer or butter.

Patten LJ went on to say that if products of this kind 'are to qualify for protection under the extended form of passing-off it can only be because they have acquired a reputation and goodwill in their own name by dint of the qualities or characteristics which they possess'. He then cited with approval the judgment of the Court of Appeal in the 'Chocosuisse' case, to the effect that the importance of the distinctiveness of a name or get-up in passing off action was the same for both the 'classic' and extended form of the action. He also suggested that the better the quality or the more fashionable the goods are, the more likely it is that they will have the necessary reputation and goodwill and that that was an 'evidential' question. He then turned to the question of whether for goods to have sufficient goodwill in the extended form of passing off they must have cachet.

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↵ 51. It seems clear to me from this and the other statements of principle in ADVOCAAT that there is no support in the authorities for Mr Wyand's submission that in cases of extended passing-off some cachet must be found in the sense of the product being a superior or luxury brand. Of course if, by a cachet, one means no more than distinctiveness then there is no difficulty. But I endorse the view of the judge that the argument that the product must be a premium or luxury one is in fact contrary to the principle which underlies all these cases. So-called premium brands are likely (perhaps more likely) in many cases to acquire the distinctiveness required. But goodwill may attach to a product simply because consumers come to like and value it for its inherent qualities rather than its status. In fairness to Mr Wyand, I think that he ultimately recognised that this may be the wrong emphasis. What he is essentially contending for is a high degree of distinctiveness which he says is not apparent in generally available products such as vodka.

52. Whether or not any particular product has acquired the kind of public reputation described by Lord Diplock is a question of fact for the trial judge. One of the dangers about highlighting the references in cases on champagne, sherry and advocaat to the product having superior or special qualities is that it risks elevating the facts of those cases into a principle. The criteria to be satisfied are those set out by Lord Diplock and Lord Fraser in ADVOCAAT and the judge in this case directed himself in accordance with them. Mr Wyand's example of white paint is unlikely to qualify on these principles. As a term it is imprecise and purely descriptive and could apply to any type of paint which might arguably be described as the colour white. It is difficult therefore to see how, as a product, it could ever acquire the necessary distinctiveness of kind or how any paint manufacturer could establish goodwill in the product itself divorced from the goodwill attaching to the manufacturer's own name and reputation. This is not therefore a serious example, in my view, of the range of goods which might qualify for protection under the ADVOCAAT principles. Butter, on the other hand, might be different. But I have to say that I find these hypothetical examples largely unhelpful. Vodka has, on the judge's findings in this case, become known and recognised for its distinctive qualities as a particular kind of alcoholic drink. Why then, one asks, should it not be entitled to the same protection as champagne given that it satisfies the criteria which the House of Lords has laid down in ADVOCAAT?

53. The judge in this case has found that the conditions described in Lord Fraser's speech in *ADVOCAAT* have all been satisfied and there is no challenge to any of those findings; in particular that relating to distinctiveness. Its qualities as a clear, tasteless, distilled, high strength spirit have given vodka a following which has created significant goodwill in the name. That is sufficient in my view to entitle Diageo to protection for their product against *VODKAT* which, on the judge's findings, passes itself off as the same product. Mr Wyand's difficulty in formulating a precise definition of the level of distinctiveness necessary to create the cachet he contends for is because the concept of distinctiveness which is effective to produce the necessary goodwill provides a sufficient and comprehensive yardstick for deciding which products qualify for protection. Nothing more is needed or, in my view, justified. The argument that one should graft on to this some additional cachet requirement amounts to an attempt to by-pass or undermine the judge's findings on reputation and goodwill which are not the subject of this appeal.

p. 309 Patten LJ upheld the High Court decision and dismissed the defendant's appeal. In his judgment in the High Court, Arnold J had said of consumers of vodka, 'They may not know precisely what it is, what it is made from or where it is made, but they use the term "vodka" to get what they want and to distinguish it from other similar products.' Laddie J had made a similar point about the lack of agreement between consumers of Swiss chocolate as to what distinguished that product, apart from the fact that it is made in Switzerland. And so did the Court of Appeal in an action concerning 'Greek yoghurt'.⁵¹ We might ask, on that basis, what product could not, in principle, be the subject of a passing off action? Patten LJ, for example, suggested white paint could not, but butter might. But would bread? After all, it is surely the case that every consumer will have his or her view of what constitutes bread and what does not, but these views will vary widely.

In 'Chocosuisse', the question was also raised as to when a trader might join the ranks of those who bring an extended form of passing off action. In his judgment, Laddie J observed that it is open to any trader to participate provided the term at issue, here Swiss chocolate, properly describes and designates its own goods (thus appearing to differ from Lord Diplock in 'Advocaat' who opined that prospective claimants would need to build up individual goodwill in relation to the products at issue). Conversely, those who already trade in these goods cannot use the term on goods which do not share their defining characteristics without misrepresentation. Nonetheless, it has been argued that the extended form of passing off, which protects designations which are not only distinctive but also descriptive, might be anti-competitive. This point was considered by Kitchen LJ in the 'Greek yoghurt' case, where a maker of yoghurt manufactured in Greece alleged passing off against a manufacturer selling as Greek, a yoghurt made in the US. Kitchen LJ noted:

148. Whether the current state of the law has drawn the line between what is capable of protection and what is not in the correct place may well be the subject of debate. I share some of the concerns expressed by Rix LJ in the Diageo case that this form of passing off risks stifling healthy competition in relatively low cost generic goods. But in my judgment the location of the line has been drawn by Chocosuisse, by which we are bound; and for as long as that remains the law, it means that the judge was entitled to reach the conclusions that he did.

In *NOCN v Open College Network*,⁵² the High Court did draw a line. The court held that despite a number of years of use exclusively by members of one organization, the term ‘Open College Network’ as a description of services rendered to adult education colleges lacked the distinctiveness necessary for an action in the extended form of passing off. This judgment might suggest that services can be harder to define in any concrete way than goods. However, the more recent decision in *Military Mutual v Police Mutual Assurance Society*⁵³ suggests otherwise. In this case MML sued for passing off because, unlike MML, the defendant’s society was not owned by its customers which, the claimant argued, was a necessary attribute for a ‘mutual’ society. Hacon J disagreed. He held that potential customers of a mutual society would understand in the widest sense that it would not be owned by shareholders but not that it would be owned by customers. Following the decisions in ‘Vodkat’ and ‘Greek yoghurt’, do you agree with some who argue that the courts are now too ready to apply the extended form of passing off to goods and services far removed from those in early cases, such as ‘Spanish Champagne’ and ‘Advocaat’, where the products’ unique characteristics were easier to identify and hence to protect? And do you prefer the decision in ‘Military Mutual’ where the court held that since the public would be unsure what characterized mutual societies there would be no shared goodwill between them?

p. 310 5.2.2 Distinguishing Criteria

According to Lord Jauncey in ‘Jif Lemon’: ‘Get-up is the badge of the plaintiff’s goodwill, that which associates the goods with the plaintiff in the mind of the public’ (p. 511). It is a matter of fact in each case whether the mark, get-up, or trade name under which a product is sold is distinctive of the claimant’s goodwill.

5.2.2.1 The Definition of Distinguishing Criteria

Passing off protects goodwill attached to the goods or services which the claimant supplies by association with an ‘identifying indicia’ or get-up. A passing off action most commonly protects the claimant against deceptive use by the defendant of this identifying or distinctive indicia which attaches to the claimant’s goodwill. It is not necessary for the consumer to know the ultimate owner of the goodwill, as long as the public believes that all goods or services sold under a distinctive insignia derive from a single source which is the claimant.⁵⁴ A useful way of determining whether any particular indicia is distinctive is to ask: may only the claimant use it in relation to its goods or services without deception or misrepresentation? If that is the case, then the indicia is distinctive. It follows that when an indicia is distinctive, the claimant will have an effective monopoly on its use. As was put by Lord Jauncey in ‘Jif Lemon’: ‘The common law will protect goodwill against misrepresentation by recognizing a monopoly in a particular get-up.’ The fact that the law of passing off effectively recognizes a monopoly in the use of distinguishing insignia by the claimant has raised particular difficulties in relation to descriptive insignia and get-up which is common to the trade.

5.2.2.2 The Limits to Distinctiveness (1): Descriptive Insignia and Get-up Common to the Trade

If any insignia, be it a word, a colour, or even a shape, is in practice descriptive of the goods or services to which it applies then it would appear to be a hard thing to prevent any other supplier from using such insignia to accurately describe its own goods and services. The same might be true of get-up which is commonly used by a number of suppliers of particular goods or services. Nonetheless, it is also possible that, because of the way in which a claimant uses such insignia on the market, the insignia may come to be associated exclusively with its goods or services in the mind of the public. If it does, it will have acquired a 'secondary meaning'. In other words, it will be not just descriptive of the claimant's goods or services, but also distinctive of its goodwill and will be protected against use by other traders in passing off. It is possible, therefore, once such insignia has acquired a secondary meaning that a single trader may monopolize its use. Such a result raises public interest concerns. It seems reasonable to ask whether competition between traders will be unduly inhibited if only one trader may use a word, colour, or shape which may accurately describe the goods or services supplied by other traders or which other traders have been accustomed to use.

p. 311 The question of when such insignia may acquire a secondary meaning was central to the 'Jif Lemon' case. So, too, was the issue of whether it was in the public interest to allow ↵ descriptive insignia and get-up common to the trade, which had acquired a secondary meaning, to be protected by a passing off action. In their speeches Lords Oliver and Jauncey looked at the first question. Lord Bridge considered the public interest issue.

***Reckitt & Colman Products Ltd v Borden Inc. (No. 3)* [1990] 1 WLR 491**

The claimants sold lemon juice in yellow plastic containers that were similar in size and shape to a lemon. The containers had the word 'Jif' embossed on them and also had a yellow cap and a green label. The product had been sold for over 30 years and had become known as 'Jif lemon'. In 1985, the defendants began selling lemon juice also in lemon-shaped containers with a green cap. Both the products were sold in supermarkets. The claimants began an action in passing off. They obtained an interim injunction in the High Court. The defendants' appeal was dismissed by the Court of Appeal and the defendants unsuccessfully appealed to the House of Lords.

The first issue raised in the case was whether the claimants had proved that the get-up under which their lemon juice had been sold since 1956 had become associated in the minds of the public specifically and exclusively with the claimant's (or 'Jif') lemon juice. The defendants' first argument was that the claimants were not seeking to protect the goodwill associated with the get-up of their product, but rather the product itself. Lord Oliver addressed this issue.

Lord Oliver, at p. 503:

There is not and cannot be any proprietary right in an idea nor can a trader claim a monopoly in the manufacture or sale of a non-patented article or, in the absence of a registered design, in the configurations of shape in which an article is manufactured. What the respondents are seeking to do, it is said, is to separate the article sold from the label under which it is sold, treat the article itself as its own trade mark and, by protecting a claim to monopoly in the mark, to establishing in the manufacture and sale of the article itself a monopoly which the law does not permit.

[Second, the defendants argued that the claimants' get-up could not be protected because it was common to the trade. Thirdly, they maintained that the get-up was descriptive, albeit in shape form, of the product. Lords Oliver and Jauncey dismissed all three arguments. Lord Oliver continued:]

At p. 504:

It is, no doubt, true that the plastic lemon-shaped container serves, as indeed does a bottle of any design, a functional purpose in the sale of lemon juice. Apart from being a container *simpliciter*, it is a convenient size; it is capable of convenient use by squeezing; and it is so designed as conveniently to suggest the nature of its contents without the necessity for further labelling or other identification. But those purposes are capable of being and indeed are served by a variety of distinctive containers of configurations other than those of a lemon-sized lemon. Neither the appellants nor the respondents are in the business of selling plastic lemons. Both are makers and vendors of lemon juice and the only question is whether the respondents, having acquired a public reputation for Jif juice by selling it for many years in containers of a particular shape and design which, on the evidence, has become associated with their produce, can legitimately complain of the sale by the appellants of similar produce in containers of similar, though not identical, size, shape, and colouring.

↪ So I, for my part, would reject the suggestion that the plastic lemon container is an object in itself rather than part of the get-up under which the respondents' produce is sold.

[Lord Oliver then addressed the question of whether when two traders use the same descriptive insignia or get up for their products such that confusion results, this necessarily give rise to an action in passing off. He held that it did not. In such circumstances there would be no actionable misrepresentation, since both traders would be using the insignia correctly to describe their goods. The defendants claimed that such was the case here, and that the claimants were 'asking the court to protect no more than use by them of a descriptive term, embodied in a plastic lemon instead of expressed verbally, which is common to the trade'.]

At p. 506:

p. 312

Every case depends upon its own peculiar facts. For instance, even a purely descriptive term consisting of perfectly ordinary English words may, by a course of dealing over many years, become so associated with a particular trader that it acquires a secondary meaning such that it may properly be said to be descriptive of that trader's goods and of his goods alone, as in *Reddaway v Banham* [1896] AC 199. In the instant case, what is said is that there was nothing particularly original in marketing lemon juice in plastic containers made to resemble lemons. The respondents were not the first to think of it even though they have managed over the past 30 years to establish a virtual monopoly in the United Kingdom. It is, in fact, a selling device widely employed outside the United Kingdom. It is a natural, convenient and familiar technique—familiar at least to those acquainted with retail marketing methods in Europe and the United States. If and so far as this particular selling device has become associated in the mind of the purchasing public with the respondents' Jif lemon juice, that is simply because the respondents have been the only people in the market selling lemon juice in this particular format. Because there has been in fact a monopoly of this sale of this particular article, the public is led to make an erroneous assumption that a similar article brought to the market for the first time must emanate from the same source. This has been referred to in the argument as 'the monopoly assumption'. The likelihood of confusion was admitted by the appellants themselves in the course of their evidence, but it is argued that the erroneous public belief which causes the product to be confused arises simply from the existing monopoly and not from any deception by the appellants in making use of what they claim to be a normal, ordinary and generally available selling technique.

The difficulty about this argument is that it starts by assuming the only basis upon which it can succeed, that is to say, that the selling device which the appellants wish to adopt is ordinary and generally available or, as it is expressed in some of the cases, 'common to the trade': see e.g. *Payton & Co Ltd v Snelling, Lampard & Co Ltd* (1900) 17 RPC 48. In one sense, the monopoly assumption is the basis of every passing off action. The deceit practised on the public when one trader adopts a get-up associated with another succeeds only because the latter has previously been the only trader using that particular get-up. But the so called 'monopoly assumption' demonstrates nothing in itself. As a defence to a passing off claim it can succeed only if that which is claimed by the plaintiff as distinctive of his goods and his goods alone consists of something either so ordinary or in such common use that it would be unreasonable that he should claim it as applicable solely to his goods, as for instance where it consists simply of a description of the goods sold. Here the mere fact that he has previously been the only trader dealing in goods of that type and so described may lead members of the public to believe that all such goods must emanate from him simply because they know of no other. To succeed in such a case he must demonstrate more than simply the sole use of the descriptive term. He must demonstrate that it has become so closely associated with his goods as to acquire the secondary meaning not simply of goods of that description but specifically of goods of which and he alone is the source.

...

At p. 507:

p. 313

In the instant case the submission that the device of selling lemon juice in a natural size lemon-shaped squeeze pack is something that is 'common to the trade' and therefore incapable of protection at the suit of a particular trader begs the essential question. If 'common to the trade' means 'in general use in the trade' then, so far as at least as the United Kingdom is concerned, the evidence at the trial clearly established that the lemon-sized squeeze pack was not in general use. If, on the other hand, it means, as the appellants submit, 'available for use by the trade' then it is so available only if it has not become so closely associated with the respondents' goods as to render its use by the appellants deceptive; and that is the very question in issue. The trial judge here has found as a fact that the natural size squeeze pack in the form of a lemon has become so associated with Jif lemon juice that the introduction of the appellants' juice in any of the proposed get-ups will be bound to result in many housewives purchasing that juice in the belief that they are obtaining Jif juice. I cannot interpret that as anything other than a finding that the plastic lemon-shaped container has acquired, as it were, a secondary significance. It indicates not merely lemon juice but specifically Jif lemon juice.

In his speech, Lord Jauncey looked at earlier cases regarding goodwill in the shapes of products. He continued:

Lord Jauncey, at p. 519:

In my view these two cases are merely examples of the general principle that no man may sell his goods under the pretence that they are the goods of another. This principle applies as well to the goods themselves as to their get-up. A markets a ratchet screwdriver with a distinctively shaped handle. The screwdriver has acquired a reputation for reliability and utility and is generally recognised by the public as being the product of A because of its handle. A would be entitled to protection against B if the latter sought to market a ratchet screwdriver with a similarly shaped handle without taking sufficient steps to see that the public were not misled into thinking that his product was that of A. It is important to remember that such protection does not confer on A a monopoly in the sale of ratchet screwdrivers not even in the sale of such screwdrivers with similarly distinctive handles if other appropriate means can be found of distinguishing the two products. Once again it will be a question of fact whether the distinguishing features are sufficient to avoid deception.

Like Lord Oliver, Lord Jauncey held that the lemon shape was now distinctive of the claimants' goods and that the defendants had not taken adequate steps to differentiate their own product. Consumers would be deceived.

In 'Jif Lemon', both Lord Oliver and Lord Jauncey raised the question of whether the claimants' victory would endow them with a monopoly of selling lemon juice in plastic lemons. They both took the view it would not. Anyone could sell their products in the same way, if they sufficiently differentiated their own product from that of the claimants. As we shall see, in the next section on misrepresentation, this is something the defendants singularly failed to do. Nonetheless, both Lords Oliver and Jauncey concluded that it is in principle possible for a trader to have an effective monopoly on certain descriptive insignia or the shape of goods,

in this case the shape of a plastic lemon, if it can be shown that they have acquired a secondary meaning. We may think that it would be unlikely that another trader would choose to sell its product in a lemon-shaped container given the outcome of the 'Jif Lemon' case, even if it had differentiating features. Certainly, the outcome troubled Lord Bridge who saw it as anti-competitive.

Lord Bridge, at p. 494:

When plastic containers made in the shape, colour and size of natural lemons first appeared on the market in the United Kingdom as squeeze packs containing preserved lemon juice the respondents were astute enough to realise their potential and to buy up the businesses of the two companies who first marketed preserved lemon juice in this way. They thereby acquired a de facto monopoly which, by the periodical threat or institution of passing off actions over the years, they have succeeded in preserving ever since. This is the first such action to come to trial.

The idea of selling preserved lemon juice in a plastic container designed to look as nearly as possible like the real thing is such a simple, obvious and inherently attractive way of marketing the product that it seems to me utterly repugnant to the law's philosophy with respect to commercial monopolies to permit any trader to acquire a de jure monopoly in the container as such. But, as Mr Jacob for the respondents, quite rightly pointed out, the order made by the trial judge in this case does not confer any such de jure monopoly because the injunction restrains the appellants from marketing their product 'in any container so nearly resembling the plaintiffs' Jif lemon-shaped container as to be likely to deceive *without making it clear to the ultimate purchaser that it is not of the goods of the plaintiff* [emphasis added]. How then are the appellants, if they wish to sell their product in plastic containers of the shape, colour and size of natural lemons, to ensure that the buyer is not deceived? The answer, one would suppose, is by attaching a suitably distinctive label to the container. Yet here is the paradox: the trial judge found that a buyer reading the labels proposed to be attached to the appellants' Mark I, II or III containers would know at once that they did not contain Jif lemon juice and would not be deceived; but he also enjoined the appellants from selling their product in those containers because he found, to put it shortly, that housewives buying plastic lemons in super markets do not read the labels but assume that whatever they buy must be Jif. The result seems to be to give the respondents a de facto monopoly of the container as such which is just as effective as de jure monopoly. A trader selling plastic lemon juice would never be permitted to register a lemon as his trade mark,^[55] but the respondents have achieved the result indirectly that a container designed to look like a real lemon is to be treated, per se, as distinctive of their goods.

In his speech, Lord Bridge shows his concern that the claimants were able to obtain a 'de facto' monopoly over a container (in this case a plastic lemon) through their successful passing off action. He took the view that allowing the claimants a monopoly of such an obvious and attractive way of marketing lemon juice undermined competition and, as a result, was detrimental to the public interest.

In the recent case of *Glaxo v Sandoz*, Arnold LJ addressed the same question of when does get-up become descriptive and common to the trade but came to an opposite conclusion to that reached in 'Jif Lemon'.

p. 315 ***Glaxo Wellcome UK Ltd (t/a Allen & Hanburys) v Sandoz Ltd* [2019] EWHC 2545 (Ch)**

The claimant (Glaxo) has for some years marketed a drug, with the key ingredient fluticasone, for the treatment of asthma and chronic pulmonary disease. It sold it under the registered mark 'Seretide' in two inhalers, one branded 'Accuhaler' and the other branded 'Evohaler'. Both inhalers are coloured in shades of purple and sold in purple packaging. In the case of the Evohaler, the purple shade of both the inhaler and packaging varies with the dose of fluticasone. In 2015, the defendants (Sandoz) launched a generic version of the same treatment under the trade name AirFluSal Forspiro. Its inhalers are also largely coloured purple and their packaging is a shade of purple. However the inhalers do not operate in the same way and are a different shape to the Glaxo inhalers. Glaxo claims that, because of the packaging, Sandoz have passed off the AirFluSal Forspiro as being (1) connected in the course of trade with Glaxo and/or (2) equivalent to the Accuhaler. Although Glaxo's pleaded case relied upon other aspects of the get-up and packaging, at trial the only feature Glaxo relied upon was the use by the defendants of the colour purple. The trial took place in the High Court although the presiding judge was Arnold LJ. After a detailed discussion of the facts of the case and the general law of passing off, Arnold LJ noted:

164. It common ground that, in principle, it is possible for a claimant to acquire a goodwill in the shape and/or colour of a product and/or its packaging such that use of the same or a similar shape and/or colour by a defendant leads to a misrepresentation as to trade origin. The authorities show, however, that it is difficult, although not impossible, for claimants to establish that the shape and/or colour of a product and/or its packaging are distinctive of them.

Arnold LJ then went on to examine the relevant case law, concluding that recognition or association by the public of a colour or shape in relation to certain goods or services is not sufficient grounds for finding that the get-up is distinctive. In particular, he accepted the defendant's submission that the judgment in the trade mark case *Nestlé SA v Cadbury UK Ltd*,⁵⁶ which concerned the registration of the shape of a chocolate bar, was equally applicable to passing off.⁵⁷ In *Nestlé v Cadbury*, Kitchin LJ held that even if a shape is well known it does not follow that it is perceived by the public as a badge of origin but rather it might either be understood as a characteristic of those kinds of products; or the public might associate it with a familiar brand name but, Kitchin LJ held, that that sort of recognition does not amount to distinctiveness in a trade mark sense. In *Glaxo*, Arnold LJ concluded that the claimant's use of the colour purple had not led to it becoming distinctive.

Arnold LJ:

253. As counsel for the Defendants accurately summarised the position, there is no evidence that in November 2015 patients would assume that any inhaler in a purple colour was an inhaler from the manufacturers of Seretide. They simply knew that their preventer ↵ (Seretide) inhaler was purple. The two propositions are quite different. Insofar as patients relied on the colour, it was for ease of distinction between different inhalers having different functions.

254. I can deal with this shortly. There is simply no evidence to show that, in November 2015, the colour purple denoted an inhaler having specific characteristics in the minds of patients. The inherent flaw in Glaxo's case applies in this context too. And the evidence as to how patients used and perceived the colour purple does not show that purple was distinctive in this sense either. At most, it indicates that patients generally knew purple inhalers were prescribed to prevent their symptoms re-occurring (save for occasional exacerbations).

In *Glaxo v Sandoz*, the claimant failed in its claim of passing off. This decision underlines the fact that, despite the decision in 'Jif Lemon', in most cases goodwill will be distinguished not by get-up or a descriptive sign alone, but through the addition of another distinguishing mark such as a trade name.⁵⁸ It is also the case that placing a combination of a trade name and a descriptive mark on goods or services may present its own dangers.

5.2.2.3 The Limits to Distinctiveness (2): Generic Marks

A trader may introduce a new product onto the market. In doing so, the trader will give the product a name. The name chosen may be an entirely made-up word. Or it might alternatively be descriptive in some way of the product. If the latter, the question arises as to whether the name will have a 'built in' secondary meaning because the trader is the only one providing the product. Or, if the name is descriptive (or indeed if it is entirely made up), will the name lose any secondary meaning it may have had and come to be seen as synonymous with the product precisely because it is the only such product on the market? Should the latter occur, then the name has become generic and use of a generic mark will not be protected by a passing off action. Each of these possible outcomes was rehearsed in the 'McCain Oven Chips' case.

***McCain International v Country Fair Foods* [1981] RPC 69 (CA)**

In 1979, the claimants introduced a new product into the UK market: chips which could be cooked in the oven. They sold the product under the name 'McCain Oven Chips'. A year later, the defendants introduced their own version of the product which they sold under the names, 'Country Fair Oven Chips' and 'Birds Eye Oven Chips'. The claimants obtained an injunction in the High Court to restrain the defendants from marketing their product under the name 'oven chips' with or without their own brand names. The defendants appealed. The defendants argued that the name 'Oven Chip' was descriptive of the product, that it had not subsequently acquired distinctiveness, and that where a descriptive name had been applied to a product by the sole supplier of that product that name could not easily acquire distinctiveness. The claimants argued that 'oven chips' was

not descriptive but was a fancy name because it was an ungrammatical combination of two words which had not previously been associated together and, further, that by virtue of the claimants' extensive sales and advertising it had acquired a secondary meaning.

p. 317

↵ **Templeman LJ, at p. 73:**

The authorities, many of which, unavoidably, were not considered by the learned judge, disclose that there is a very real distinction in passing off litigation between a fancy name and a descriptive name. A fancy name which is not descriptive of a product can only indicate that the product bearing that name is, or is licensed by, or is derived from one and the same supplier. Thus in *Spalding & Bros v Gamage Ltd* (1915) 32 RPC 273, the plaintiffs described their football as 'Orb football'. Mr Harman submitted that might be a descriptive phrase, but in my judgment it was a fancy name in that nobody would have dreamed of connecting a football with an orb in normal speech, and as it was a fancy name the defendants could not use the same fancy name without thereby representing that their goods were the goods of the plaintiff. In my judgment a fancy name is an indication of a single source and that is why it is impossible, generally speaking, for a defendant to appropriate the same fancy name without committing the tort of passing off.

A descriptive name, on the other hand, does not indicate the source of the goods, but the nature of the goods. In the present case, the name 'oven chips' is a descriptive name which is not so far-fetched or fanciful as to indicate that all oven chips emanate from the same source. Indeed the plaintiffs themselves appear to have recognised that the expression 'oven chips' is not in itself a fancy name which indicates as single source or origin. That is why they have consistently referred in their literature and in their packaging to 'McCain oven chips'. In my judgment they found it necessary or prudent to do so in order to distinguish their brand of oven chips from any other brand. The expression 'oven chips' in my judgment identifies the product and the name 'McCain', identifies the manufacturer who is responsible for that particular brand of that product.

[Templeman LJ then distinguished the present case from *Reddaway v Banham* (1896)^[59] in which it was held that the claimant's product, 'Camel-hair Belting', had acquired a secondary meaning in connection with belting, in that it did not convey to persons dealing in belting the idea that it was made of camel's hair, but rather that it was belting manufactured by the claimant. He continued:]

At p. 73:

In the present case, not only is the period [of trading] only 18 months, but it seems to me that it is quite impossible for the plaintiffs to establish that a secondary meaning has been attached to anything other than that which is claimed on their own packet and what is claimed on their own packet is 'McCain oven chips'. I have no doubt that in the trade, both as regards consumers and retailers, the name 'McCain oven chips' means those oven chips made by the plaintiffs, but the words 'oven chips' *simpliciter* never have been used in isolation by the plaintiffs. There has been neither the opportunity nor the time for people to form the impression that the only makers of oven chips are and will remain McCain. It must be remembered that in the field of frozen foods the consumer is accustomed to different brands of the same or similar products and is accustomed to competing brands coming on to the market at different times.

...

p. 318

↵ **At p. 75:**

In my judgment, the distinction is between a name which is descriptive of the product and a name which is distinctive of the manufacturer. In the present case the words ‘oven chips’ are distinctive of the product, and the words ‘McCain oven chips’ refer to the brand of the product which is put on sale by the plaintiffs.

...

At pp. 80–1:

Templeman LJ continued that the words ‘oven chips’ are descriptive of the product and by using those words together with their own brand name, the defendant would not mislead the public into making an association between its product and that of the claimant. He also held that just because the product was novel that did not mean the claimant could monopolise the name ‘Oven Chips’.

Rather the reverse. By choosing a descriptive name, it ran the risk that the defendant could use the name as long as it did so with its own brand name. He concluded that there had been no passing off.

The claimants failed in the ‘McCain’ case. How important to this failure is the fact that they only sold their ‘oven chips’ in conjunction with their brand name, ‘McCain’? Bearing in mind the earlier comments about ‘Jif Lemon’, do you think that the outcome would have been different if the claimants had sold their new product from its inception only under the name ‘Oven Chips’?

5.2.2.4 The Protection Given to Distinctive Insignia as Such

It has been noted that the property protected by an action in passing off is goodwill. There is a strong argument that more recently the courts have come to accept that a passing off action will protect not simply damage to a claimant’s goodwill caused by a defendant’s misrepresentation, but also damage to the claimant’s distinctive insignia. According to Kerr LJ in his dissenting judgment in the *Harrods* case, ‘a trader’s distinctive name can in some cases in itself form part of its goodwill and constitute a property interest’. From this perspective, damage can be said to occur because the defendant, by employing the claimant’s insignia to misrepresent the origin or characteristics of its own goods, will ‘dilute’ the distinctiveness of the claimant’s insignia and hence its value. For example, in the ‘Elderflower champagne’ case, the defendant described its cheap, non-alcoholic drink as ‘champagne’.⁶⁰ The Court of Appeal accepted that not only would some consumers buy the defendant’s product instead of champagne, but that by using the word champagne to describe its inferior product, the defendant was also ‘diluting’ the value of the word more generally. At the heart of this development is the question of where the damage lies. Is it damage to goodwill or damage to the insignia as such which passing off protects or both? For this reason, the issue of ‘dilution’ will be considered more fully in the section of this chapter which is devoted to the third element of passing off: damage.

p. 319 Further Reading

J. Agnew, ‘Misleading use of geographical marks: extending passing-off for Greek yoghurt’ (2013) 35 *European Intellectual Property Review* 692.

B. Abegg, 'The geographical trade mark: a Swiss innovation worth copying?' (2018) 49 International Review of Intellectual Property and Competition Law 565.

H. Carty, 'Passing off: frameworks for liability debated' (2012) 2 Intellectual Property Quarterly 106.

C. Wadlow, 'The House of Lords ruling in Jif Lemon' (1990) 2 Intellectual Property in Business Review 19.

5.2.3 Misrepresentation

The second element in a passing off action is a misrepresentation. The misrepresentation must be actionable or material.

5.2.3.1 The Definition

An actionable misrepresentation will be one which deceives the consumer and, as a result, the claimant suffers or is likely to suffer damage. For instance, the defendant may misrepresent to the consumer that his product originates from the claimant. As a result of that misrepresentation, the consumer may purchase the defendant's product. To be an actionable misrepresentation, a substantial number of customers must be confused. Lord Jauncey considered the nature of a misrepresentation in the 'Jif Lemon' case.

Lord Jauncey, at p. 510:

The basic underlying principle of such an action was stated in 1842 by Lord Langdale MR in *Perry v Truefitt* (1842) 6 Beav 66, 73 to be: 'A man is not to sell his own goods under the pretence that they are the goods of another man ...' Accordingly, a misrepresentation achieving such a result is actionable because it constitutes an invasion of proprietary rights vested in the plaintiff. However, it is a prerequisite of any successful passing off action that the plaintiff's goods have acquired a reputation in the market and are known by some distinguishing feature. It is also a prerequisite that the misrepresentation has deceived or is likely to deceive and that the plaintiff is likely to suffer damage by such deception. Mere confusion which does not lead to a sale is not sufficient. Thus, if a customer asks for a tin of black shoe polish without specifying any brand and is offered the product of A which he mistakenly believes to be that of B, he may be confused as to what he has got but he has not been deceived into getting it. Misrepresentation has played no part in his purchase.

5.2.3.2 A Misrepresentation and Mere Confusion

As was suggested by Lord Jauncey, there is a difference between an actionable misrepresentation in a passing off action and 'mere' confusion. The latter may affect a consumer's actions in relation to the product or service, but does not result in damage to the claimant's goodwill. In *Phones 4u v Phone 4u*, Jacob LJ examined the distinction between a misrepresentation which is vital to an action for passing off and mere confusion.

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***Phones 4u Ltd v Phone4u.co.uk Internet Ltd* [2006] EWCA Civ 244, [2007] RPC 5**

The claimants had, since 1995, owned and operated a nationwide chain of shops under the name, 'Phones 4u', which sold mobile phones and arranged customer contracts. It also had a domain name, 'phones4u.co.uk'. In 1999, the defendant registered the domain name 'phone4u.co.uk'. It sold mobile phones from this site, although, in 2000, it offered to sell its domain name to the claimant for a considerable sum. The claimant sued for passing off. The Court of Appeal found that, by the time the defendant commenced trading, the claimant had substantial goodwill in the name 'Phones 4u'. A considerable number of people sought to contact the claimant via the defendant's website. Once on the site, the defendant offered to sell them phones, but also stated it was unconnected with the claimant's business. Among the questions for the Court of Appeal was whether the defendant's actions amounted to an actionable misrepresentation or 'mere confusion'. In his judgment, Jacob LJ examined the difference between the two.

Jacob LJ:

16. The next point of passing off law to consider is misrepresentation. Sometimes a distinction is drawn between ‘mere confusion’ which is not enough, and ‘deception, which is. I described the difference as ‘elusive’ in *Reed Executive v Reed Business Information* [2004] RPC 767 at 797. I said this, [111]:

Once the position strays into misleading a substantial number of people (going from ‘I wonder if there is a connection’ to ‘I assume there is a connection’) there will be passing off, whether the use is as a business name or a trade mark on goods.

17. This of course is a question of degree—there will be some mere wonderers and some assumers—there will normally (see below) be passing off if there is a substantial number of the latter even if there is also a substantial number of the former.

18. The current (2005) edition of *Kerly* contains a discussion of the distinction at paragraphs 15–043–15–045. It is suggested that:

The real distinction between mere confusion and deception lies in their causative effects. Mere confusion has no causative effect (other than to confuse lawyers and their clients) whereas, if in answer to the question: ‘what moves the public to buy?’, the insignia complained of is identified, then it is a case of deception.

19. Although correct as far as it goes, I do not endorse that as a complete statement of the position. Clearly if the public are induced to buy by mistaking the insignia of B for that which they know to be that of A, there is deception. But there are other cases too—for instance those in the *Buttercup* case. A more complete test would be whether what is said to be deception rather than mere confusion is really likely to be damaging to the claimant’s goodwill or divert trade from him. I emphasise the word ‘really’.

20. *HFC Bank v Midland Bank* [2000] FSR 176, relied upon by Miss Lane, is a case about ‘mere confusion’. The claimant Bank was known, but not very well known, as HFC. It sought to restrain the Midland with its very many branches from changing its name to HSBC. That was said to be passing off. It relied upon some 1,200 instances of alleged deception. Lloyd J ↵ analysed the ten best (pp. 189–104). None really amounted to deception. And in any event, given the scale of the parties’ respective operations, the totality of what was relied upon was trivial. The case was one on its facts. It decided no question of principle.

21. In this discussion of ‘deception/confusion’ it should be remembered that there are cases where what at first sight may look like deception and indeed will involve deception, is nonetheless justified in law. I have in mind cases of honest concurrent use and very descriptive marks. Sometimes such cases are described as ‘mere confusion’ but they are not really—they are cases of tolerated deception or a tolerated level of deception.

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22. An example of the former is the old case of *Dent v Turpin* (1861) 2 J&H 139. Father Dent had two clock shops, one in the City, the other in the West End. He bequeathed one to each son—which resulted in two clock businesses each called Dent. Neither could stop the other; each could stop a third party (a villain rather appropriately named Turpin) from using ‘Dent’ for such a business. A member of the public who only knew of one of the two businesses would assume that the other was part of it—he would be deceived. Yet passing off would not lie for one son against the other because of the positive right of the other business. However it would lie against the third party usurper.

23. An example of the latter is *Office Cleaning Services v Westminster Window and General Cleaners* (1946) 63 RPC 39. The differences between ‘Office Cleaning Services Ltd’ and ‘Office Cleaning Association’, even though the former was well-known, were held to be enough to avoid passing off. Lord Simmonds said:

Where a trader adopts words in common use for his trade name, some risk of confusion is inevitable. But that risk must be run unless the first user is allowed unfairly to monopolise the words. The Court will accept comparatively small differences as sufficient to avert confusion. A greater degree of discrimination may fairly be expected from the public where a trade name consists wholly or in part of words descriptive of the articles to be sold or the services to be rendered (p. 43).

In short, therefore, where the ‘badge’ of the plaintiff is descriptive, cases of ‘mere confusion’ caused by the use of a very similar description will not count. A certain amount of deception is to be tolerated for policy reasons—one calls it ‘mere confusion’.

In his judgment, Jacob LJ defined the difference between an actionable misrepresentation and confusion as: ‘whether what is said to be deception rather than mere confusion is really likely to be damaging to the claimant’s goodwill or divert trade from him’. In this particular case, Jacob LJ concluded that customers or potential customers of the claimant were being deceived into contacting the defendant’s website and, once there, the defendant sought to take advantage of this initial deception. This was more than ‘mere deception’ and since the other elements of a passing off action, goodwill and damage, were also present the claimant’s case was made out. An opposite conclusion was reached in the earlier case of *BP Amoco Plc v John Kelly Ltd*.⁶¹

In this case, the claimants operated service stations all decorated in a particular shade of green. It claimed one purpose of this was so that approaching motorists could identify the stations even if they were too far away to be able to read the BP logo. The defendant operated service stations in Ireland and Northern Ireland, under the name ‘TOP’. In 1996, it adopted green as the main colour of its service stations. BP sued, inter alia, for passing off. BP was unsuccessful in its action, because as Carswell CJ held, a normally observant motorist would realize once he reached the defendant’s service station that it was not run by the claimant.⁶² According to Carswell CJ: ‘it is a necessary ingredient of the tort that the customer is deceived into making a purchase by reason of the confusion engendered by the defendant’s get-up ...’

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5.2.3.3 Initial Interest Confusion

In *BP v John Kelly*, the court held that there would be no passing off because, even if a passing motorist were initially confused, he would not remain confused at the point of sale. In *Och-Ziff Management Europe Ltd v Och Capital LLP*,⁶³ Arnold J looked at what has come to be termed ‘initial interest’ confusion and took a different view. The claimant was part of a leading asset management group. The defendant was an independent investment house. The claimant alleged both infringement of its registered trade marks, ‘Och-Ziff’ and ‘Och’, and also passing off. In response, the defendant argued that since the two businesses were not in competition a customer who initially confused them would be disabused of any such confusion by the time of his entering into a contract with the defendant and the claimant would suffer no damage. Arnold J held for the claimant on the basis that ‘initial interest confusion’ was sufficient for a finding of passing off. According to Arnold J, initial interest confusion can be identified as ‘a doctrine which has been developing in US trade marks cases since the 1970s, which allows for a finding of liability where a plaintiff can demonstrate that a consumer was confused by a defendant’s conduct at the time of interest in a product or service, even if that initial confusion is corrected by the time of purchase’.⁶⁴ Arnold J then examined its application to both registered trade mark infringement and passing off. On the issue of passing off, he took the view that there can be passing off through advertising goods for sale even if none are actually sold. The only question would be whether there was a misrepresentation and subsequent damage resulting from such advertising. In this case, according to Arnold J, there had been a misrepresentation or, as he termed it, initial interest confusion. Turning to the question of damage, he held that there would be damage to the claimant’s goodwill by association and damage to the ‘exclusivity’ of the claimant’s mark through dilution. (Both of these heads of damage will be examined later in the chapter.)

In the later case of *Argos v Argos Systems*,⁶⁵ the High Court took a more cautious view of initial interest confusion. The substantial UK retailer Argos Ltd (AUL) sued the US firm Argos Systems Ltd (ASI), which dealt in computer aided design in the US and Latin America, for trade mark infringement and passing off. AUL claimed that ASI’s domain name ‘Argos.com’ and word sign ‘Argos’ which it used in online advertising led, among other things, to initial interest confusion. In particular, AUL claimed that if an AUL customer googled Argos, they might be directed to the defendant’s home page (a so called ‘landing page’). In response, the defendant stated that if anyone in the UK or Europe clicked onto their webpage their average stay was ten seconds at most. Richard Spearman QC held that consumers who found themselves on the defendant’s website were unlikely to be confused and if they were, their confusion would be so short lived that they would not take any material steps which could damage the claimant’s goodwill. There was no initial interest confusion. Since the decision in *Och Ziff*, the Court of Appeal has held that initial interest confusion has no place in registered trade mark law, not least because it might stifle legitimate competition when consumers shop online.⁶⁶ It will be interesting to see whether in future a higher court might take the same view about its deployment in passing off.

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5.2.3.4 The Circumstances in Which an Actionable Misrepresentation May Arise

The question of whether or not a misrepresentation is actionable may depend upon the nature of the goods or services at issue, the typical customers for such goods or services, and the circumstances in which the misrepresentation is made, or a combination of each or all of these factors.⁶⁷

In 'Jif Lemon', Lord Oliver considered the circumstances in which customers were likely to be deceived by the sale of the defendant's product. He began by accepting that 'a careful shopper who read the labels attached respectively to the appellants and the respondents products would have no difficulty whatever in distinguishing them'.

Lord Oliver, at p. 508:

The essence of the action for passing off is a deceit practised upon the public and it can be no answer, in a case where it is demonstrable that the public has been or will be deceived, that they would not have been if they had been more careful, more literate or more perspicacious. Customers have to be taken as they are found.

[He then noted previous cases where the court had asked whether the marks at issue would deceive 'incautious' customers:]

At p. 509:

It is also the question to be asked in this case. It has, however, to be asked in every case against the background of the type of market in which the goods are sold, the manner in which they are sold, and the habits and characteristics of purchasers in that market. The law of passing off does not rest solely upon the deceit of those whom it is difficult to deceive.

In the instant case, side-by-side visual comparison does not in fact take place. Moreover the trial judge was satisfied of the fact that a substantial part of the purchasing public requires specifically Jif lemon juice, associates it with the lemon-shape, lemon-size container which is the dominant characteristic of the get-up and pays little or no attention to the label. It is no answer to say that the diversion of trade which he was satisfied would take place would be of relatively short duration, since the public would ultimately become educated to the fact that there were two brands of lemon juice marketed in such containers and would then be likely to pay more attention to the labels to be sure that they got the brand which they required. His finding was that the diversion would be likely to run into millions of units. It inevitably follows from these findings that the appellants have not in fact sufficiently and effectively distinguished their goods from those of the respondents and it is not for the respondents or for the court to suggest what more they should do, although some suggestions were made ↵ by Slade LJ in the course of his judgment in the Court of Appeal. In the light of the trial judge's finding, I see no escape from the proposition that the respondents were entitled to an injunction which they obtained in the form in which it was granted.

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The facts of the 'Jif Lemon' case led Lord Oliver to assume that shoppers would be confused between the two products. According to Lord Oliver, it is irrelevant that the public will not be deceived if they are more careful, literate, or perspicacious. Instead, in passing off actions, customers must be taken as they are found. Generally, as it did in 'Jif Lemon', the court will assess the likelihood of the public's being deceived by reference to the type of goods or services concerned. So the public is likely to be more careful and less likely to be deceived when dealing with a bank⁶⁸ than when reading an evening paper on the Tube during rush hour.⁶⁹ Or, indeed, when buying lemon juice in a supermarket.

5.2.3.5 Definition of a Substantial Number in Passing Off

In determining whether there has been an actionable misrepresentation, it is necessary to ask whether a sufficient number of customers have been misled. The general rule is that it is necessary for a *substantial* number of customers to be misled but not necessarily a majority. As Lightman J stated in the ‘Alan Clark diaries’ case, ‘it is no defence that many people are not deceived’.⁷⁰ Indeed, it would be fair to say that the definition of ‘substantial’ in relation to passing off is a relative one. For example, in the ‘Chocosuisse’ case,⁷¹ Laddie J in the High Court concluded that a ‘substantial’ number of potential customers need not even comprise a majority. In this case, the defendant, Cadbury, made and sold a chocolate bar in the UK called ‘Swiss Chalet’. The claimants, manufacturers of chocolate made in Switzerland, claimed Cadbury was passing off its chocolate as Swiss chocolate. One question that arose for the court was whether a substantial section of the public would have been confused by the defendant’s misrepresentation. Laddie J held at p. 413 that many people on seeing the prominent use of the Cadbury name and get-up would not be confused. Others would find the origin of chocolate irrelevant. Nonetheless, there would be a substantial number of customers who would believe the chocolate was made in Switzerland even if they would not be a majority. Laddie J’s conclusion that there was sufficient customer confusion for the claimants to succeed in their passing off action was subsequently upheld by the Court of Appeal. And this approach was adopted by the Court of Appeal in the ‘Greek yoghurt’ case.

***Fage UK Ltd v Chobani UK Ltd* [2014] EWCA Civ 5**

The claimants had, since the 1980s, marketed yoghurt in the UK which was imported from Greece. It was sold under the name FAGE but described as ‘Greek yoghurt’. By 2012 it had 95 per cent of the market for all yoghurt sold in the UK as Greek yoghurt. The defendants, Chobani, introduced a yoghurt into the UK in 2012 which was described as ‘Greek yoghurt’ but was made in the US. The claimants argued that Greek yoghurt had acquired goodwill in the UK, in which they shared, and that using the phrase ‘Greek yoghurt’ for

p. 325 ↪ yoghurt not made in Greece was a misrepresentation. This was the case even though the defendant’s method used to produce its yoghurt, which gave it a ‘thick and creamy’ texture, was the same as that applied in Greece. It was also the case that in the UK (unlike in the US) only yoghurt made in Greece was described as ‘Greek yoghurt’. At trial, the judge looked at a variety of evidence, including market surveys and newspaper articles, to reach his conclusion that for a substantial proportion of actual or potential buyers, Greek yoghurt meant a thick and creamy yoghurt which was specifically made in Greece. The claimant succeeded in its claim and the defendant appealed. In particular, the defendant argued that the term ‘Greek yoghurt’ is descriptive of a broad range of products, sharing the same method of manufacture, which were not necessarily made in Greece. And that even if a significant proportion of the yoghurt-buying public believed Greek yoghurt came from Greece, this was not important to them when buying yoghurt and hence Greek yoghurt did not have the necessary goodwill which might be protected by passing off.

Lord Justice Kitchen:

37. This is one of those cases in which it is alleged that a geographical name has become so distinctive of particular goods made in that geographical area that its use in relation to other goods amounts to a misrepresentation which is calculated to lead to the deception of members of the public and to cause damage to those traders who enjoy a goodwill in their businesses of supplying goods which are in fact made in that area. It therefore involves an allegation of so called extended passing off. It gives rise to fundamental questions as to the meaning of distinctiveness in this context, and the degree of distinctiveness which must be established to sustain such a claim.

Lord Justice Kitchen examined the authority for the extended form of passing off, including 'Advocaat' and the 'Swiss Chocolate' case. He took a number of lessons from the authorities, in particular on the question of how many customers need to be misled. He noted that not all potential customers must find descriptive terms have acquired a secondary meaning but, as per Chadwick LJ in 'Swiss Chocolate', a 'significant' section of the public must. He then turned to what constituted a significant number and in particular how it might be assessed in cases of the extended form of passing off.

66. Fifth, it is no more necessary in a case of extended passing off than in a case of conventional passing off for a claimant to establish that all members of the public understand how the goods are made. Thus in the Spanish champagne case the degree of understanding of the meaning of the term ‘champagne’ varied from consumer to consumer, with the less knowledgeable consumers being most likely to be confused. This mattered not because, as Cross J so precisely identified in the British sherry case, those less knowledgeable consumers might well think a bottle labelled ‘Spanish champagne’ was the genuine article. Similarly, in the Advocaat case, the reputation attaching to the name was simply that of a drink having recognisable qualities of appearance, taste, strength and satisfaction and for that reason the defendants’ product, labelled as it was ‘Old English Advocaat’, would lead them into believing they were in fact buying genuine advocaat.

[After a further discussion about damage, Lord Justice Kitchen turned to the question of whether the claimant had established its case.]

70. So I must now consider whether the judge was entitled to reach the conclusion he did in light of the principles which I have summarised. I have set out in some detail the approach the judge took to the evidence, the findings he made, his analysis of the law and his reasoning in arriving at his ultimate conclusion. In dealing with the critical issue on this aspect of the appeal, that is to say distinctiveness, he found (at [112]–[116]) that a substantial proportion, and probably a clear majority, of the buyers of Greek yoghurt believed that it came from Greece and further, that the description conveyed to them that the yoghurt to which it was applied was in some way special. Adopting Laddie J’s illustrations at first instance in the Chocosuisse case, ‘Greek yoghurt’ is not one of those descriptions such as ‘French ball bearings’ or ‘Italian pencils’ which do not have associated with them any goodwill which acts as an attractive force which brings in custom. To the contrary and notwithstanding that few know how or why Greek yoghurt has its distinctive thick and creamy texture, a substantial proportion of the relevant public not only believe that Greek yoghurt comes from Greece but also believe it to be special. I am satisfied the judge was entitled to make these findings on the evidence. Indeed they had powerful support from the trade witnesses, the unwritten labelling convention, the advice given to Chobani and the premium price which Greek yoghurt commands in the marketplace. Furthermore, the evidence given by Chobani through Mr Bevers betrayed not only a recognition of the reputation enjoyed by Greek yoghurt but also a determination to take commercial advantage of it.

71. The judge returned to this issue later in his judgment (at [133]–[135]) in dealing with goodwill. There he reiterated that a substantial proportion of those who buy Greek yoghurt think that it is made in Greece and that the proportion of those Greek yoghurt buyers to whom it matters is also substantial. It followed, he thought, that FAGE had demonstrated that a substantial goodwill attached to the phrase.

The defendant’s appeal failed on this basis as did its further argument that the protection of the designation ‘Greek yoghurt’ should more properly be achieved through an action based on European legislation relating to geographical indications.

In the case of both Greek yoghurt and Swiss chocolate, the courts found that even though only a minority of purchasers of the products would share a common view of their particular characteristics or think they were significant in making a purchasing decision, as long as it was a substantial number of purchasers that was sufficient. The question then arises as to how a substantial number is to be identified and assessed by the court.

5.2.3.6 Measuring Customer Confusion in Passing Off

It is sometimes the case that when passing off is alleged to have been continuing for some time, the court may take the absence of evidence of confusion as telling.⁷² In *MoroccanOil v Aldi*,⁷³ the claimant sold a hair oil under the name 'MoroccanOil'. It sued the defendant, a supermarket chain, for passing off when it introduced a hair oil named 'Miracle Oil' with some similarity of packaging. In finding for the defendant, Hacon J held that the lack of evidence of actual confusion was a relevant factor. He noted:

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45. There was no direct evidence of there having been a misrepresentation—nothing to show that any identified individuals had assumed that Aldi's miracle oil had a trade connection with MoroccanOil because of Miracle Oil's name and/or get-up. I think in the present case ↵ that if a significant proportion of the public believed that Aldi's product was MoroccanOil, there is a fair chance that at least one or two people with complaints about something, possibly quality or the divergence in price, would have written to one or other of the parties expressing that complaint.

Conversely, as was pointed out by Jacob LJ in *Phones4u*: 'It should also be remembered here that it is seldom the case that all instances of deception come to light—the more perfect the deception the less likely that will be so.'⁷⁴

If, to establish passing off, the claimant must nonetheless convince the court that a substantial number of the relevant public have been or are likely to be misled, the question arises of how that 'substantial number' is to be measured. In the 'Chocosuisse' case, both parties initiated surveys in order to demonstrate either that customers were or were not likely to be misled. Although this may appear to be an obvious course to take in a passing off action, it is by no means the norm. Such evidence is bound to be contentious and the court, as it did in 'Chocosuisse', may take a view that the questions addressed to potential customers are leading ones. Furthermore, the speed with which many passing off actions reach the court may make the collection of such data impractical. In fact, the courts have generally taken the view that the question of whether enough people will be misled is one for the judge to answer. As was put by Jacob J in *Neutrogena v Golden Ltd* and approved by the Court of Appeal:⁷⁵

The proper approach of the court to the question was not in dispute. The judge must consider the evidence adduced and use his own common sense and his own opinion as to the likelihood of deception. It is an overall 'jury' assessment involving a combination of all these factors, see 'GE' Trade Mark [1973] RPC 297 at 321. Ultimately the question is one for the court, not for the witnesses. It follows that if the judge's own opinion is that the case is marginal, one where he cannot be sure whether there is a likelihood of sufficient deception, the case will fail in the absence of enough evidence of the likelihood of deception.

It is perhaps not surprising that, for all these reasons, the introduction of survey evidence into passing off actions tended to be the exception rather than the rule. This approach was confirmed when the judiciary chose to apply the judgment in *Interflora v Marks & Spencer*, which considered the value of survey evidence in a case concerning registered trade mark infringement, to passing off.⁷⁶ Thus, in *Glaxo v Sandoz*, Glaxo had compiled extensive surveys of both patients and health care professions in order to show that they made a connection between the colour purple and its inhaler. In his discussion of the surveys, Arnold LJ set out the law as it pertained to survey evidence and as it was summarized in *Interflora*:

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19. The basic guidelines, often referred to as ‘the Whitford Guidelines’, were formulated by Whitford J as long ago as 1984 in *Imperial Group plc v Philip Morris Ltd* [1984] RPC 293 (an unsuccessful passing off claim concerning the use of the colours black and gold on cigarette packaging) at 302–303. More recently, these guidelines were endorsed by the Court of Appeal in *Interflora Inc v Marks & Spencer plc* [2012] EWCA Civ 1501, [2013] FSR 21. In that case Lewison LJ summarised the guidelines at [61] as follows:

- i) if a survey is to have any validity at all, the way in which the interviewees are selected must be established as being done by a method such that a relevant cross-section of the public is interviewed;
- ii) any survey must be of a size which is sufficient to produce some relevant result viewed on a statistical basis;
- iii) the party relying on the survey must give the fullest possible disclosure of exactly how many surveys they have carried out, exactly how those surveys were conducted and the totality of the number of persons involved, because otherwise it is impossible to draw any reliable inference from answers given by a few respondents;
- iv) the questions asked must not be leading; and must not direct the person answering the question into a field of speculation upon which that person would never have embarked had the question not been put;
- v) exact answers and not some sort of abbreviation or digest of the exact answer must be recorded;
- vi) the totality of all answers given to all surveys should be disclosed; and
- vii) the instructions given to interviewers must also be disclosed.

Applying these guidelines to the surveys carried out by Glaxo, Arnold LJ concluded that they were either unacceptable methodologically or were not probative of the claim that the colour purple was distinctive.

Lewison LJ, in *Interflora*, also suggested that in order for survey evidence to be introduced the judge must decide that it has ‘real value’ as an aid to assessing confusion. The question of when survey evidence has real value in the context of passing off was considered by Floyd LJ’s in *Zee Entertainment Enterprises Ltd v Zeebox Ltd*.

***Zee Entertainment Enterprises Ltd v Zeebox Ltd* [2014] EWCA Civ 82**

The claimant was an Indian cable television channel which provided programmes in Hindi and other Indian languages. The defendant produced an app, 'Zeebox', providing information about television programmes. The claimant sought to introduce a survey of 'British Asian people' which, among other things, was intended to assess whether there was a likelihood of a misrepresentation in that they would make a connection between the claimant's service and the defendant's app. In the High Court, Birss J refused the claimant's request and the claimant appealed. In the Court of Appeal, the claimant argued that such a survey was justified because the misrepresentation would be occurring among 'a people and a culture with whom the judge may be unfamiliar'.⁷⁷ In his judgment, Floyd LJ confirmed that whether the defendants were making a 'misrepresentation calculated to deceive is ultimately a question for the trial judge'.⁷⁸ He then looked to see whether there was what he termed 'a cost benefit' in admitting the claimant's survey in this instance. He first considered the claimant's argument for admitting survey evidence.

↩ **Floyd LJ:**

31. I should add that Mr. Malynicz made detailed oral submissions to us as to the potential value of survey evidence in passing off cases. First, a survey could, for example, provide reassurance for a judge that his or her view was not idiosyncratic. Secondly, it could ensure that the judge is aware of the views of the relevant public, in the present case, watchers of the appellant's channel and users of apps, tablets and smartphones. Thirdly, this was particularly so where linguistic or cultural factors to come into play.

32. As was pointed out in the course of argument, however, many of these factors would be present in all passing off cases. In my judgment, one factor which might be of importance is where there is some special factor about the goods or services, or their consumers, which makes evidence of the kind likely to be of real value.

Ground 2: the relevant public

33. The appellants' survey was targeted at members of the British Asian community. The appellants say that given the nature of the services offered by the claimant, which are also targeted at that community, the judge will be assisted by evidence of the reactions of the interviewees. They say that the trial judge is likely to have little familiarity with the appellant's channel or the reactions of the ethnically distinct market to which it is directed.

...

36. Although Mr. Malynicz accepts that the passing off in the present case is not taking place in a distant country, he submits that it is taking place amongst a people and culture with whom the trial judge may be unfamiliar. He submits that in saying that the passing off case was concerned with matters which were not esoteric, the judge lost sight of this aspect of the case.

37. I do not think there is anything in these points. First, whilst of course the trial judge may not be a watcher of Zee TV, or indeed of any television channel at all, I have real difficulty in accepting that, when equipped with knowledge of the extent and popularity of the appellant's channel, he will not be able to assess the susceptibility of watchers of that channel to confusion or deception when confronted with the signs complained of. Judges in passing off cases are familiar with taking into account any relevant characteristics of the purchasing public and making allowances for it.

38. Secondly, the attempted analogy with *White Horse v Gregson* seems to me to be misplaced. In that case the impact of the defendant's advertising in a foreign language was relevant, as were the ways in which whisky was sold in a foreign country.

39. This case, in contrast, is about a very short English trade mark and logo delivered to the public in the way that television services are delivered to the public in this country. There is nothing in that which is likely to be unfamiliar or not readily understandable to the trial judge.

40. Thirdly, if the justification of the survey is the need to target speakers of Hindi because the appellant's channels are in Hindi, then the survey has failed to do that. As Mr. Roberts has demonstrated, significant numbers of interviewees speak nothing but English.

[Floyd LJ then looked at the reliability of the survey and concluded that it was conducted under ‘artificial circumstances’, in that participants were not introduced to the defendant’s app in the way they would come across it in real life. He also took the view that the high cost of the survey, agreed to be £150,000, must be a significant factor in allowing its admissibility. He concluded that it should not be admitted.]

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↩ 58. By far the most significant factor is that the survey is flawed in the way I have described. Any marginal value it might have is outweighed by the significant and, in my view, disproportionate cost. The appellants have other avenues open of them to prove their case. Against that, one must of course bear in mind that one is preventing the appellants from adducing some potentially relevant evidence. I consider that in this case the balance comes down heavily in favour of refusing permission for the survey evidence.

59. For my part I would not grant permission for this survey. It follows that I would dismiss the appeal.

Lewison LJ who had given the leading judgments in *Interflora v M&S* agreed. He made clear that those judgments should be read to mean that survey evidence, in both passing off and registered trade mark disputes, should only be admitted ‘in special cases’ such as when the judge is dealing with ‘specialized’ or ‘esoteric’ goods or services. Otherwise, he thought that ‘surveys have very limited value’.⁷⁹ In ‘Zee TV’, the court was being asked to take a view on whether a very particular social group would be misled about a product aimed specifically at that group. Nonetheless, the Court of Appeal agreed that the judge could make up his or her own mind, without depending upon survey evidence. This raises the question of just how ‘specialized’ or ‘esoteric’ goods or services must be before a survey is deemed cost-effective in a passing off action.

5.2.3.7 The Deception Does Not Have to be Deliberate

In order to show passing off, there is no need to prove that the defendant intended to make a misrepresentation. However, the court may choose to see the reason why the defendant chose to adopt a particular insignia as relevant, as was explained in *Specsavers v Asda*.⁸⁰

***Specsavers v Asda Stores* [2012] EWCA Civ 24**

The claimant owned a chain of opticians and the defendant supermarket also had opticians in some of its stores. The claimant had a number of registered trade marks, including the word ‘Specsavers’ and a device of two intersecting shaded ellipses. The defendant launched an advertising campaign which featured, inter alia, the slogan ‘Be a real spec saver at Asda’ and two non-intersecting ellipses. The claimant sued for trade mark infringement and passing off. Kitchin LJ, in the course of his judgment, described the circumstances in which a defendant’s decision to ‘live dangerously’ by alluding to the claimant’s insignia might affect the likelihood that the court would find passing off.

114. Finally, I come to the ‘living dangerously’ point. Mr Mellor submitted that if a trader takes a decision to live dangerously he recognises a risk of a successful legal action and so also recognises a likelihood that his activity will deceive some people. This submission was founded upon an observation of Robert Walker J in *United Biscuits v Asda* (1997) RPC 513, a case in which Asda designed its own chocolate-coated sandwich biscuit called ‘Puffin’ which was intended as a ‘brand-beater’ to be matched against the well known ‘Penguin’ biscuit. In that case, as in this, Asda made changes to its initial designs so as to lessen the risk of confusion, but only such changes as were needed in order to avoid what it judged to be an unacceptable risk of being attacked for copying while maintaining Puffins’ position as an obvious competitor and parody. Robert Walker J said at p. 531:

I cannot escape the conclusion that, while aiming to avoid what the law would characterise as deception, they were taking a conscious decision to live dangerously. That is not in my judgment something that the court is bound to disregard.

115. In my judgment it is important to distinguish between a defendant who takes a conscious decision to live dangerously and one who intends to cause deception and deliberately seeks to take the benefit of another trader’s goodwill. It has long been established that if it is shown that a defendant has deliberately sought to take the benefit of a claimant’s goodwill for himself the court will not ‘be astute to say that he cannot succeed in doing that which he is straining every nerve to do’: see *Slazenger & Sons v Feltham & Co* (1889) 6 RPC 531 at p.538 per Lindley LJ. A trader who has taken the decision to live dangerously is in a different position, however. He has appreciated the risk of confusion and has endeavoured to adopt a sign which is a safe distance away. All must depend upon the facts of the particular case ...

In *Glaxo v Sandoz*, Glaxo claimed that while the defendants may not have intended to misrepresent their product, nonetheless they were ‘reckless’ as to whether the public would be deceived. In rejecting the claim of recklessness, Arnold LJ noted (at 294) that the defendant had provided convincing evidence that it chose purple for its inhalers as it was the ‘signal colour for this substance combination’. He continued:

295. As to allegation (1), the Defendants did not deliberately seek to make the AirFluSal product and packaging as similar as possible to the Seretide Accuhaler. One only needs to look at the products and packaging to see that this is so. The only similarity that Glaxo persisted in relying upon is the similarity in colour. In any event, however, as the Defendants submit, this is irrelevant. If there is no deception of HCPs [health care professionals] or patients, then developing a product that would assist in switching patients from the Seretide Accuhaler to a generic is not passing off. In particular, it is not passing off if the similarity in colour merely reassures patients that the AirFluSal Forspiro has the same active ingredients as the Seretide Accuhaler.

...

307. The upshot is that I entirely acquit the Defendants of the charge of recklessness. There is nothing in the Defendants' state of mind at the time of developing and launching the AirFluSal Forspiro that lends any support to the claim of passing off. To the contrary, given that it is Glaxo's own case that Sandoz were knowledgeable about the relevant market, the evidence supports the case advanced by the Defendants at trial that the use of the colour purple on the AirFluSal Forspiro would be perceived by HCPs and patients as indicating the combination of active ingredients it contained. It can now be seen that there never was any proper basis for the charge of recklessness. It follows that, as the Defendants submit, the entire investigation into the Defendants' state of mind has been a complete waste of time and money.⁸¹

p. 332 5.2.3.8 The Common Field of Activity

A recurring question, which has now been definitively answered, has been whether there must be direct competition between the claimant and the defendant, in other words must they share 'a common field of activity', for a passing off action to succeed. There have been a number of authoritative decisions which have made clear that it is not necessary for there to be a common field.⁸² Among them is that of the Court of Appeal in *Harrods*. Millett LJ first considered the authorities.

Millett LJ, at p. 714:

There is no requirement that the defendant should be carrying on a business which competes with that of the plaintiff or which would compete with any natural extension of the plaintiff's business. The expression 'common field of activity' was coined by Wynn-Parry J in *McCulloch v May* (1948) 65 RPC 58, when he dismissed the plaintiff's claim for want of this factor. This was contrary to numerous previous authorities (see, for example, *Eastman Photographic Materials Co Ltd v John Griffiths Cycle Corporation Ltd* (1898) 15 RPC 105 (cameras and bicycles); *Walter v Ashton* [1902] 2 Ch 282 (The Times newspaper and bicycles)) and is now discredited. In the *Advocaat* case Lord Diplock expressly recognised that an action for passing off would lie although 'the plaintiff and the defendant were not competing traders in the same line of business'. In the *Lego* case Falconer J acted on evidence that the public had been deceived into thinking that the plaintiffs, who were manufacturers of plastic toy construction kits, had diversified into the manufacture of plastic irrigation equipment for the domestic garden. What the plaintiff in an action for passing off must prove is not the existence of a common field of activity but likely confusion among the common customers of the parties.

[Millett LJ then went on to suggest that while a common field of activity is not necessary, it is nonetheless suggestive of passing off. He continued:]

At p. 714:

The absence of a common field of activity, therefore, is not fatal; but it is not irrelevant either. In deciding whether there is a likelihood of confusion, it is an important and highly relevant consideration:

whether there is any kind of association, or could be in the minds of the public any kind of association, between the field of activities of the plaintiff and the field of activities of the defendant (*Annabel's (Berkeley Square) Ltd v G Schock (trading as Annabel's Escort Agency)* [1972] RPC 838, at page 844 per Russell LJ).

In the *Lego* case Falconer J likewise held that the proximity of the defendant's field of activity to that of the plaintiff was a factor to be taken into account when deciding whether the defendant's conduct would cause the necessary confusion.

Where the plaintiff's business name is a household name the degree of overlap between the fields of activity of the parties' respective businesses may often be a less important consideration in assessing whether there is likely to be confusion, but in my opinion it is always a relevant factor to be taken into account.

Where there is no or only a tenuous degree of overlap between the parties' respective fields of activity the burden of proving the likelihood of confusion and resulting damage is a heavy one.

p. 333 ↵ It is clear from Millett LJ's comments and also from earlier authorities, in particular the 'Lego' case, that what is needed to establish passing off is evidence of confusion and a likelihood of damage whether or not there is a common field of activity between the parties. However, both confusion (and damage) will be easier to prove if there is a common field of activity or where, as in the 'Lego' case, the claimant is a household name. Millett LJ went on in *Harrods* to assess whether, in the absence of any common field, there was a likelihood of either confusion or damage to the claimant. He concluded there was not.

Millett LJ, at p. 717:

(3) The absence of any common field of activity.

This is of particular significance in the present case. The judge correctly directed himself as to the law; he cannot be faulted in the way in which he applied it. It is not merely that the plaintiffs have never run a school and have no established reputation for doing so; or even that the nature of the parties' respective businesses are as dissimilar as can well be imagined. It is rather that the commercial reputation for excellence as a retailer which the plaintiffs enjoy would be regarded by the public as having no bearing upon their ability to run a school. Customers of the plaintiffs would be surprised to learn that Harrods had ventured into the commercial theatre; they would, I think, be incredulous if they were told that Harrods had opened a preparatory school.

On that basis, Millett LJ concluded there would be no likelihood of confusion.

In *Harrods*, the Court of Appeal held that the absence of a common field between the department store and the school meant that the public would not be misled into believing that there was any connection between the parties. By contrast, where there is a common field of activity between the parties, the courts will be more likely to find both an actionable misrepresentation and the likelihood of damage. To understand how, in an area of law which regulates unfair competition, there may be no direct competition between the parties, we need to examine the various types of misrepresentation which might lead to a finding of passing off.

Further Reading

A. Blythe, 'Misrepresentation, confusion and the average consumer: to what extent are the tests for passing off and likelihood of confusion within trade mark law identical?' (2015) 37 *European Intellectual Property Review* 484.

J. Davis, 'Revisiting the average consumer: an uncertain presence in European trade mark law' (2015) 1 *Intellectual Property Quarterly* 15.

J. Marshall, 'Wrong-way-round and initial "disinterest" confusion' (2018) 40 *European Intellectual Property Review* 510.

J. Strath and K. Cameron, 'Glaxo gets puffed out: UK High Court finds colour purple not distinctive for asthma inhaler' (2020) 15 *Journal of Intellectual Property Law & Practice* 11.

p. 334 5.2.4 Types of Actionable Misrepresentations

The very early cases of passing off generally involved a misrepresentation by the defendant that its goods were those of the claimant. Over time, the tort has expanded to encompass many other types of misrepresentation. Indeed, at its simplest, it may be argued that any misrepresentation might give rise to an action in passing off, provided that it is material and that the other constituents of the tort are also present. Below we shall look at the most common types of actionable misrepresentations. They are:

- (1) the defendant's goods or services are those of the claimant or originate from him or, if they are the claimant's goods, that they are, for example, of a different quality;
- (2) there is a business connection between the claimant and the defendant;
- (3) the defendant's goods are of the same origin or nature as the claimant's goods;
- (4) the defendant claims that the goods or services of the claimant are his own;
- (5) the defendant's goods are equivalent to the claimant's goods;
- (6) there is a licensing agreement between the claimant and the defendant;⁸³
- (7) the claimant has endorsed the defendant's goods.⁸⁴

5.2.4.1 The Defendant's Goods or Services are Those of the Claimant or are of a Different Quality

'Jif Lemon' is of course a classic example of a misrepresentation that the defendant's goods originated with the claimant. The early case of *Spalding v Gamage* established that a misrepresentation by the defendant as to the quality of the claimant's goods could also amount to passing off. The claimants manufactured rubber footballs which were sewn and sold as the 'Improved Sewn Orb'. The defendants obtained a stock of moulded footballs, which the claimants had manufactured and rejected, which the defendants advertised under the same name. This was held to be an actionable misrepresentation. Other cases have concerned the claimant's second-hand goods which were sold by the defendant as if they were new⁸⁵ and goods which were manufactured to the claimant's specification but sold without its authorization.⁸⁶

5.2.4.2 There is a Business Connection between the Claimant and the Defendant

It has also been long established that passing off may occur if the defendant wrongly claims that there is a business connection between themselves and the claimant. However, not all such misrepresentations will be actionable. This was made clear by Millett LJ in the *Harrods* case.

↵ Millett LJ, at p. 712:

The relevant connection

In its classic form the misrepresentation which gave rise to an action for passing off was an implied representation by the defendant that his goods were the goods of the plaintiff, but by the beginning of the present century the tort had been extended beyond this. As Lord Diplock explained in the 'Advocaat' case [1979] AC 731 at pages 741–2, it came to include the case:

where although the plaintiff and the defendant were not competing traders in the same line of business, a false suggestion by the defendant that their businesses were connected with one another would damage the reputation and thus the goodwill of the plaintiff's business.

In a written summary of the plaintiffs' points in reply which was prepared by their junior counsel and presented to us at the conclusion of the argument, and to the excellence of which I would like to pay tribute, it was submitted:

In this case the belief engendered [in the minds of the public] is probably that Harrods sponsor or back the school. Obviously not every connection will found an action for passing off ... but where the representation is to the effect that the plaintiff is *behind* the defendant in some way, that is a classic case.

This is too widely stated. In my judgment the relevant connection must be one by which the plaintiffs would be taken by the public to have made themselves responsible for the quality of the defendant's goods or services. In *British Legion v British Legion Club (Street) Ltd* (1931) 48 RPC 555 Farwell J considered that the public would take the defendant club to be 'connected in some way' with the plaintiff. But he explained this by saying that some persons would think that it was 'either a branch of the plaintiff or a club in some way amalgamated with or under the supervision of the plaintiff *and for which the plaintiff had in some way made itself responsible*' [my emphasis].

Millet LJ concluded (at p. 713) that even if the claimant could demonstrate that the public believed there was a connection between Harrods and the Harrodian School, they would not suppose the former had made itself responsible for the latter. Hence there was no actionable misrepresentation. He also considered whether a public belief that the claimant sponsored the defendant's school would be an actionable misrepresentation. He held it would not because, in the case of sponsorship, the public would not generally believe the sponsor was responsible for the sponsored organization. And he held this was certainly the case with schools where those who supplied some financial support, for example scholarships, did not expect to have any control over the institution.

In *Harrods*, the court found there was no misrepresentation because the two businesses were too remote from each other for the public to assume that the claimant would have control of or be responsible for the quality of the defendant's goods or services. Where the claimant and the defendant are in the same line of business, such as financial services for example, the court may find there is a real risk that such a connection will be

made, and as a result the claimant may lose control of its reputation.⁸⁷ Do you think that Millett LJ's approach is realistic given that today a wide variety of goods might be sold under a single 'mark' or identifying insignia? The mark 'Virgin' springs to mind.

p. 336 **5.2.4.3 The Defendant's Goods are of the Same Origin or Nature as the Claimant's Goods**

This misrepresentation is characteristic of the extended form of passing off. In the extended form, the defendant will make the misrepresentation that its goods share the same origin or nature as those of the claimant's goods, not that they originate from the claimant, as in the classic form of passing off. The 'Advocaat' case provided the authoritative definition of the extended form of passing off.

Lord Diplock, at p. 739:

[T]he question of law for your Lordships is whether this House should give the seal of its approval to the extended concept of the cause of action for passing off that was applied in the champagne, sherry and Scotch whisky cases. This question is essentially one of legal policy.

[Lord Diplock then examined the facts of the case and the High Court decision that there had been passing off (in effect, by finding that the five factors were present which Lord Diplock identifies in this same case as necessary for a successful action in passing off). He continued:]

At p. 739:

True it is that it could not be shown that any purchaser of 'Keeling's Old English Advocaat' supposed or would be likely to suppose it to be goods supplied by Warnink or to be Dutch advocaat of any make. So Warnink had no cause of action for passing off in its classic form. Nevertheless, the learned judge was satisfied: (1) that the name 'advocaat' was understood by the public in England to denote a distinct and recognisable species of beverage; (2) that Warnink's product is genuinely indicated by that name and has gained reputation and goodwill under it; (3) that Keeling's product has no natural association with the word 'advocaat'; it is an egg and wine drink properly described as an 'egg flip,' whereas advocaat is an egg and spirit drink; these are different beverages and known as different to the public; (4) that members of the public believe and have been deliberately induced by Keeling to believe that in buying their 'Old English Advocaat' they are in fact buying advocaat; (5) that Keeling's deception of the public has caused and, unless prevented, will continue to cause, damage to Warnink in the trade and the goodwill of their business both directly in the loss of sale and indirectly in the debasement of the reputation attaching to the name 'advocaat' if it is permitted to be used of alcoholic egg drinks generally and not confined to those that are spirit based.

These findings, he considered, brought the case within the principle of law laid down in the champagne case by *Danckwerts J* and applied in the sherry and Scotch whisky cases. He granted Warnink an injunction restraining Keeling from selling or distributing under the name or description 'advocaat' any product which does not basically consist of eggs and spirit without any admixture of wine.

[The Court of Appeal, in reversing the High Court decision, had distinguished the present case from the 'Champagne' case. They had found that while champagne was a product that could only be made by a particular class of producers, advocaat was merely the description of a particular type of drink. Lord Diplock believed this was not a useful distinction.]

At p. 747:

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It cannot make any difference in principle whether the recognisable and distinctive qualities by which the reputation of the type of product has been gained are the result of its having been made in, or from ingredients produced in, a particular locality or are the result of its having been made from particular ingredients regardless of their provenance; though a geographical limitation may make it easier (a) to define the type of product; (b) to establish that it has qualities which are recognisable and distinguish it from every other type of product that competes with it in the market and which have gained for it in that market a reputation and goodwill; and (c) to establish that the plaintiff's own business will suffer more than minimal damage to its goodwill by the defendant's misrepresenting his product as being of that type.

In this case, Lord Diplock took the view that although most of the 'advocaat' on the English market came from the Netherlands, this was not its distinctive feature. Rather, any drink made in conformity with the official Dutch recipe wherever it was made, had the same recognizable and distinctive features which have gained 'advocaat' recognition and goodwill on the English market. It followed that Keeling were seeking to take advantage of this goodwill by misrepresenting that their own product was of that type. Furthermore, in 'Advocaat' it was accepted that because members of the public believed that in buying Keeling's 'Old English Advocaat' they were in fact buying advocaat made to the Dutch recipe, this misrepresentation would cause damage to the makers of the latter both directly through loss of sales and indirectly through the 'debasement' of the reputation attaching to the name 'advocaat'. In the later 'Elderflower champagne' case, the defendant marketed a product, 'Elderflower champagne' in a champagne-style bottle. It was, in fact, a non-alcoholic drink which sold at £2.35 a bottle. The Court of Appeal accepted that there had been a misrepresentation that the defendant's drink was champagne or in some way associated with it. They also concluded that it was a reasonably foreseeable consequence of the misrepresentation that there would be injury to the claimant's goodwill, both in loss of sales and the debasement of champagne's reputation. However, the court went on to suggest that the misrepresentation would also dilute the exclusivity of the name 'champagne' itself. The question of whether the 'Elderflower champagne' case and later passing off decisions have extended the tort of passing off to encompass not merely damage to goodwill but also damage to the exclusivity of the distinguishing indicia as such will be discussed at 5.2.5 on damage. We shall also ask whether this is a legitimate extension of the tort of passing off.

5.2.4.4 The Defendant Claims that the Goods or Services of the Claimant are its Own

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Following *Bristol Conservatories Ltd v Conservatories Custom Built Ltd*,⁸⁸ it is now generally accepted that inverse or reverse passing off falls within the wider tort of passing off. A key problem to be overcome in this situation is that characteristically the public would not be in a position to know of the claimant, and hence would not be misled into thinking there was an association between the claimant and the defendant. In *Bristol Conservatories*, the defendants' salesman showed prospective customers photographs of conservatories, as if they were samples of their own work. In fact, they were photographs of the claimant's conservatories. An action for passing off failed in the High Court, because the judge held that the public would not associate the conservatory in the photographs with the claimant; that there would be no confusion; and that the claimant had no goodwill which was affected by the showing of the photographs. The decision was overturned in the Court of Appeal. Gibson LJ held that the defendants, by their misrepresentation, were seeking to induce

customers to purchase their conservatories in order to get a conservatory from the commercial source which had designed and constructed the conservatories shown in the photographs. However, if a customer ordered a conservatory they would not get one from this source, but rather one made by the defendants. This was passing off. As to goodwill, by showing the photographs to prospective customers goodwill was created for the supplier (that is, the claimant) and at the same time misappropriated by the defendants. In reaching his decision, Gibson LJ stated that, 'I do not intend to decide whether there is a form of the tort to be known as reverse passing-off. It is sufficient, I think, to hold that the facts alleged can properly be regarded as within the tort of passing off.'⁸⁹

However, at least one commentator has noted that, like the extended form of passing off, most commonly reverse (or inverse) passing off will be concerned with a 'quality' misrepresentation rather than a misrepresentation as to origin and argues that this has led to an expansion in the ambit of passing off.⁹⁰

5.2.4.5 The Defendant's Goods are Equivalent to the Claimant's Goods

We have seen that in *Glaxo v Sandoz*, Glaxo failed to persuade the court that either practitioners or patients would assume that the defendant's purple inhaler originated with the claimant. Glaxo also argued that Sandoz was misrepresenting that its purple inhalers were equivalent to Glaxo's inhalers, when in fact they were not. For example, Glaxo's own inhalers came in a number of strengths while the Sandoz purple inhaler came in only one strength and, unlike Glaxo's Accuhaler, it was not certified for use by adolescents, was only certified for treatment of asthma (as opposed to chronic obstructive pulmonary disease) and operated differently. Both the defendant and Arnold LJ agreed that a claim to false equivalence between two products could theoretically succeed in a passing off action.

Arnold LJ:

174. It is well established that the tort of passing off is not confined to misrepresentations as to trade origin. Thus suppliers of products of a particular description have succeeded in restraining rival traders from using that description, or a confusingly similar term, in relation to goods which do not correspond to that description, a type of action often referred to as 'extended passing off'. In the present case, Glaxo assert that the get-up of the AirFluSal Forspiro conveys a misrepresentation as to equivalence with the Seretide Accuhaler as well as a misrepresentation as to trade origin. In support of this contention, counsel for Glaxo relied in particular on the following authorities.

[Arnold LJ then identified three passing off cases where the misrepresentation was based on a claimed equivalence between the products and set out their reasoning. He continued:]

181. In the light of these authorities, counsel for the Defendants did not dispute that, in principle, a misrepresentation as to equivalence could be actionable as passing off, but submitted that it was necessary to consider with care what goodwill the claimant owned and whether any misrepresentation was made by the indicia complained of which was likely to damage the claimant's goodwill. I accept that submission.

[In applying the law to the facts, Arnold LJ once again held that Glaxo's case failed.]

Misrepresentation to patients as to equivalence

288. As counsel for the Defendants submitted, it is inherently improbable that patients would make any assumptions as to the characteristics of AirFluSal Forspiro inhalers based on their colour. There is no reason why patients should make any assumption as to the delivery mechanism, and as discussed above they would find out that it was different as soon as they tried to use it even if they had somehow not been made aware of that before. Nor is there any reason for patients to be concerned as to whether or not there is more than one strength of AirFluSal Forspiro. Few patients would be aware of the need for downwards titration, and those that were aware would rely upon their prescribers and dispensers to ensure that they received the appropriate treatment. Equally, few patients would be aware of the existence and significance of differing marketing authorisations, and those that were aware would rely upon their prescribers and dispensers. It is therefore unsurprising that there is no evidence that any patients have been, or are likely to have been, confused as to the characteristics of the AirFluSal Forspiro, let alone that this is due to its colour.

289. Counsel for Glaxo submitted that evidence of confusion as to equivalence was unlikely to come to light. I accept that confusion as to equivalence is less likely to come to light than confusion as to trade origin. Given the extensive sales of AirFluSal Forspiro, however, I regard the absence of any evidence of confusion as confirmation that it is wholly improbable.

5.2.4.6 Instruments of Fraud

It is possible that a defendant may make available the means of making an actionable misrepresentation to others. For example, D may register the domain name of a well-known retailer such as Marks & Spencer. While not using the domain name itself, D may offer to sell the domain name on the open market. This practice, which has come to be known as ‘cybersquatting’ was considered in the case, *BT v One in a Million Ltd.*⁹¹ The defendants registered a number of domain names of well-known companies including *marksandspencer.co.uk*. In the Court of Appeal, the defendants were found to have created an instrument of fraud.⁹² In other words, unless the purchaser of the domain name was Marks & Spencer (which may well have been the defendant’s hope and intention when registering the name), the use of the domain name by any other purchaser would almost certainly amount to an actionable misrepresentation in relation to Marks & Spencer’s goodwill. The defendants would, therefore, have furnished the purchaser with an ‘instrument of fraud’. By making an instrument of fraud available for others, the defendant was found liable in passing off. The recent case of *Media Agency v Space Media Agency*⁹³ also involved allegations of ‘cybersquatting’. The defendant had registered the claimant’s trade mark ‘Trackaccountable’ as a domain name. The claimant alleged passing off, even though it had not used its mark in the course of trade. ↵ The High Court found the defendant guilty of passing off. However, in the Court of Appeal, Floyd LJ overturned this aspect of the judgment. He noted:

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28. Mr Clark’s core submission under this ground was that there was no pleaded or factual base for a finding that the word ‘Trackaccountable’ had acquired any goodwill or reputation. It was an unused trademark which was incapable of supporting an action for passing off. I think Mr Clark is right about this ground. The judge appears to have treated cybersquatting as a comprehensive basis for an allegation of passing off. In doing so, I think that he misinterpreted this court’s decision in *British Telecommunications plc v One In A Million Ltd* [1998] EWCA Civ 1272, [1999] 1 WLR 903. The issue in that case was whether the cybersquatters, simply by registering well-known domain names, were using or threatening to use a trademark. I accept entirely the principle established by that case, but it does not dispense with the need to show, in the case of a passing off action, relevant reputation and goodwill in the name or mark relied on. There was no allegation of such a reputation in the name ‘Trackaccountable’ in the amended Particulars of Claim, and accordingly the operation of CPR 16.5(1)(b) cannot deem the appellant to have made any admission about it. Moreover, the respondents’ evidence made clear that no use had been made of the name, thereby expressly demolishing any possible claim to have acquired goodwill. ...

In *Media Agency*, the Court of Appeal felt compelled to find there had been no passing off by the defendant because it had not used its registered trade mark and hence it had not acquired goodwill. Do you think that is a fair outcome or should companies be allowed to reserve domain names for later use? After all, one could argue that there are many other equally appropriate domain names the defendant might have chosen instead of the claimants’ registered mark.

Further Reading

H. Carty, 'Inverse passing off: a suitable addition to passing off?' (1993) 15 European Intellectual Property Review 370.

J. Davis, 'Passing off and joint liability: the rise and fall of "instruments of deception"' (2011) 33 European Intellectual Property Review 204.

D. Fields, 'Registering trade marks as domain names with view to selling for profit constitutes passing off' (2014) 20 Computer and Telecommunications Law Review 209.

K. Toft, 'Cybersquatting perhaps but where's the goodwill?' (2019) 30 Entertainment Law Review 222.

5.2.5 Damage

5.2.5.1 Introduction

Damage is the third element identified by Lord Oliver in 'Jif Lemon' as necessary to establish an action in passing off. According to Lord Oliver, the claimant:

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must demonstrate that he suffers or, in a *quia timet* action, that he is likely to suffer damage by reason of the erroneous belief engendered by the defendant's misrepresentation that the
↪ source of the defendant's goods or services is the same as the source of those offered by the plaintiff.⁹⁴

It is, in fact, possible to state two general principles about the role of damage in a passing off action.

- (1) The damage must be as a consequence of the defendant's misrepresentation.
- (2) There is no need for actual damage, as long as the claimant can show that there is a likelihood of damage.

A third principle would seem to be implicit in these dicta—that the damage must be to the claimant's goodwill. However, a number of recent cases have suggested that passing off may also protect against damage to the distinctiveness of a claimant's insignia as such through dilution, rather than to the claimant's goodwill. It has also been argued that courts have found passing off where the claimant has not suffered damage but there has been unjust enrichment of the defendant. Finally, it would be fair to say that the courts will frequently assume that there is damage, or a likelihood of damage, once the claimant has convinced the court that there is goodwill and a misrepresentation.⁹⁵ Thus in *Fit Kitchen v Scratch Meals*,⁹⁶ which involved an action for passing off, Hacon J noted of the contending parties that: 'No argument was raised in respect of damage if misrepresentation was established.'

It is possible to identify five key heads of damage in passing off:

- (1) direct loss of sales;
- (2) loss of reputation or control over reputation;

- (3) dilution;
- (4) loss of a licensing opportunity;⁹⁷
- (5) damages for false endorsement.⁹⁸

5.2.5.2 Direct Loss of Sales

'Jif Lemon' is an example of a situation where the claimant would have lost sales to the defendant if the latter had continued to misrepresent its goods as those of the claimant. Similar damage would have occurred in 'Advocaat'. In 'Vodkat', in the High Court, Arnold J accepted the claimant would suffer direct loss of sales of its vodka at pubs, off-licences, and convenience stores, as some customers would opt for the cheaper Vodkat. Direct loss of sales may also occur when a defendant sells the claimant's goods but misrepresents their quality, as in *Spalding v Gamage*.

5.2.5.3 Loss of Reputation or Control Over Reputation

p. 342 In the leading case of *Annabel's v Schock*, the Court of Appeal held that the claimants would suffer potential loss of earnings, because of the damage to their goodwill resulting from ↵ the association which the public would make between the claimants' and the defendant's business.

***Annabel's (Berkley Square) Ltd v G. Schock (t/a Annabel's Escort Agency)* [1972] FSR 261**

The claimants were proprietors of a well-known London club, named Annabel's. They sought an interim injunction to restrain the defendant from carrying on the business of an escort agency under the name Annabel's Escort Agency. An injunction was granted in the High Court and the defendant appealed. A key question for the Court of Appeal was what was the nature of the misrepresentation and the consequent damage.

Russell LJ, at p. 269:

Here I have no doubt at all as at present advised that there is a sufficient association between what the public would consider the field of activity in which Annabel's Club is conducted and the field of activity in which Mr Schock indulges in the course of his escort business.

Both are concerned with what might be described as 'night life' or 'hight [sic] entertainment'. Put another way, it can be said that Annabel's Club provides facilities to men for dining and dancing with female partners—though not in the sense that they are made available on the premises, as is the case, I understand, in some or perhaps many night clubs, where they are known as 'hostesses'. Turning it round slightly, Mr Schock's business is concerned with supplying for men facilities of female partners for the purpose, among other things, of dining and dancing with them.

I should have thought there was a relevant association between the fields of activities sufficient to make it impossible to say that the general public could not be confused into thinking that Mr Schock's business under the name of 'Annabel's' was something to do with or was associated with the plaintiffs' business also under the name of 'Annabel's'.

Now it is said, as I have previously remarked, that it may be that in terms of pounds and pence between now and the trial, when the whole matter will be finally decided, it is improbable having regard to their flourishing condition, that the plaintiffs through their club will actually lose money by the activities of Mr Schock trading under the business name of 'Annabel's Escort Agency'. Indeed, I think it is fair to remark that Mr Schock said: 'It may very well be that I have had one or two members of Annabel's who have applied to me for an escort to take them there, and no doubt have taken them there.' I dare say that has swollen the takings of the plaintiffs' club, though perhaps if it had not been that escort it would have been one of Jeannie's or another girl; one does not know. This may be so; but the crucial point seems to me in this case to be this: First of all, I absolutely and entirely agree with the learned judge that on the evidence there is a probability of confusion, and that some members of the public though not all will think that there is some association between the plaintiffs' club and Annabel's Escort Agency.

Having reached that stage we are then faced with this situation which has got nothing to do with immediate possible loss of takings by Annabel's Club, or even immediate falling off in membership, both of which seem unlikely. But the fact is, as Mr Schock very properly, rightly and honestly faced and agreed with, that escort agencies have, as yet, as a general activity, to say the least but an indifferent public image. I am prepared, of course, to accept from Mr Schock that everything to do with his particular agency has always been run with the strictest regard to public and private morals, and so on. But as he says, as yet one cannot but be tarred (I am not using his words) to some extent with the brush which the general public are inclined to think is appropriate to these escort agencies, though, according to Mr Schock they are satisfying a present and increasing want, and it may be that they will come to be thought to be a good thing or a better thing than they are thought to be now.

p. 343

This seems to me to be the important matter. This seems to me to entitle Annabel's Club or the proprietors to now say what in my judgment is correct at this stage, namely: 'If it is going to be thought by a sufficient number of people that we are somehow associated with the running of an escort agency, some of the tar will come off on us, and we have no tar on us at all.' This is the real ground upon which it seems to me an interlocutory injunction is justified, because it is that kind of attack, albeit unintended, on the general good will of a plaintiff that requires the protection of an interlocutory injunction, because there is never going to be any means at the end of the road to see how much harm has been done by this kind of possible reputation being acquired in the mind of the public in regard to a perfectly respectable organisation and activity such as is the plaintiffs' and as is run by the plaintiffs.

For those reasons it appears to me that the learned judge was right in coming to his conclusion that this was a case in which an interlocutory injunction should be ordered, of course with an undertaking as to damages should the matter turn out differently on the evidence given at the trial. For those reasons I would dismiss the appeal.

An interesting aspect of this judgment is that Russell LJ accepted that it might not be possible to assess the actual damage to the claimant's goodwill which might result from the defendant's misrepresentation. As a result, he held that it was appropriate to order an interim injunction. 'Anticipated' damage, through both damage to the claimant's reputation because of an association with the defendant and also through loss of control over its reputation in the future, was also the issue in *McAlpine v McAlpine*.

***Sir Robert McAlpine Ltd v Alfred McAlpine Plc* [2004] EWHC 630 (Ch)**

The claimant and the defendant were both construction companies which were established when the original company founded by Sir Robert McAlpine divided along geographical lines. When the defendant decided to trade simply under the name 'McAlpine', the claimant sued for passing off, claiming that the defendant would misrepresent either that he was associated with the claimant or had the sole goodwill in the 'McAlpine' name. The question arose of what would be the damage that the claimant might suffer. The claimant alleged such damage might result, inter alia, (1) if Robert does not get on a tender list because Alfred had attracted bad publicity; or (2) Alfred does something which attracts bad publicity which generally rubs off on Robert, such as something involving a railway accident. In that latter case, there might also be general damage to the goodwill of the McAlpine name. Mann J held that this might amount to damage which would be covered by a claim in passing off.

Mann J:

42. I shall take heads (a) and (b) together. As a matter of principle they ought to amount to damage if the risk is sufficiently great. I have already set out some extracts from authority which deal with the question of damage. That authority indicates, and it indeed is accepted by Alfred, that the relevant damage, for the purposes of passing off, is not limited to loss of sales to an opponent, or cases where the defendant's goods or services are inferior to those of the claimant. As Mr Thorley put it, injurious association or dilution of exclusivity can, in an appropriate case, amount to damage ...

43. I therefore have to weigh and assess the risks of damage relied on by Robert in the light of the evidence. First, there is the question of the level of risk of a tarnishing of the McAlpine name. This is impossible to quantify, but it is a possibility. With one exception, no witness suggested that Alfred enjoyed anything other than a good current reputation in terms of its work, payment record, creditworthiness, health and safety matters and all other things that would establish a good business reputation. (The one exception was Mr Kerr, who gave some evidence that Alfred had a poor payment record and a record for being confrontational in building disputes. I accept that he had that belief, but I do not think that it is shared generally in the industry, and I find that it is not a fair picture of Alfred). There were no positive indications that its good reputation was about to change. However, that is not entirely the point. There is a risk. A number of things might plausibly happen. Alfred's business reputation in one or more of the areas might change; or its reputation might be affected by some engineering misfortune which gains some publicity. Since Alfred is involved in railway maintenance, fears were expressed by one witness that accidents in that area might affect its reputation, though it was pointed out that Alfred's railway maintenance activities related to such fixtures as embankments, and not to such things as the track and signalling, where reputations might be said to be more vulnerable. Other work was put forward as possibly causing public opprobrium, such as participating in an environmentally sensitive road building project.

[Having pointed out that the defendant's actions risked damaging the claimant's reputation in the future, Mann J then looked at various ways in which the claimant might be negatively associated with the defendant. He continued:]

46. I bear in mind that the customers of Robert and Alfred operate in a relatively sophisticated and well-informed market. Many will be sufficiently well-informed to be able to distinguish between the two, and not to let an adverse impression attaching to one affect its judgments in relation to the other. However, I am satisfied that there is still scope for the sort of adverse effects referred to above, and that that scope presents a sufficiently high risk to the reputation of Robert as to amount to damage for the purposes of passing off. After the re-branding there is greater scope for adverse publicity and reputation to be attached to 'McAlpine'; (after all, putting the name forward prominently is part of the purpose of the re-branding exercise) without a distinguishing 'Alfred', and for that to rub off on Robert because of the shared goodwill and shared name. I accept that some of the risks tend to be more speculative than others—for example, the risk of being excluded from PFI work at the pre-qualification stage—but I have to look at the matter in the round and realistically, and doing so leads me to the conclusion that the risks are real enough to amount to the sort of damage that the law of passing off is intended to prevent, as Warrington LJ stated.

p. 345 In the 'Ukulele' case,⁹⁹ Hacon J held that the claimant, which performed under the name 'The Ukulele Orchestra of Great Britain' (UOGB) should succeed in passing off against the defendant because the latter's use of the name 'The United Kingdom Ukulele Orchestra' had 'caused damage to UOGB's goodwill, particularly by way of loss of control over UOGB's reputation as performers'.¹⁰⁰ However, it is possible to argue that in the 'McAlpine' case, Mann J went further. He held that damage caused by the defendant's misrepresentation would be not only to the claimant's reputation (or goodwill) but also to the value of the claimant's 'name'. Sometimes known as 'dilution', there has been considerable controversy as to what extent passing off covers this head of damage.

5.2.5.4 Does Passing Off Recognize Damage by Dilution?

The case which is generally credited with recognizing damage which dilutes the value of the claimant's identifying insignia (most usually its name) rather than directly damaging its goodwill is the 'Elderflower champagne' case.

***Taittinger v Allbev Ltd (Discovery)* [1993] FSR 641**

The claimants produced champagne and French wines. Previous actions taken by them had ensured that the name 'champagne' was used only for sparkling wine produced in the Champagne district of France. The defendants produced a cheap drink under the name 'Elderflower Champagne'. The drink was non-alcoholic but was carbonated and was sold in champagne-style bottles with labels and wired corks similar to those used on champagne bottles. The claimants sued for passing off. They were unsuccessful in the High Court. The court accepted that there had been a misrepresentation but did not believe that there was a likelihood of serious damage, because only a small number of people were likely to be confused. The claimants appealed. In the Court of Appeal, Peter Gibson LJ in his leading judgment concluded that it was 'at least as likely that a not insignificant number of members of the public would think that it [the defendant's product] had some association with champagne, if it was not actually champagne'. In addition, he held that there was ample evidence that as a reasonably foreseeable consequence of that misrepresentation injury to the champagne houses' goodwill would result. Furthermore, even though the activities of the defendant were on a 'small scale' he believed that the claimants would suffer damage through loss of sales. He then identified an additional head of damage which might result from the defendant's misrepresentation, but which had been rejected by Sir Mervyn Davies in the High Court.

Peter Gibson LJ, at p. 669:

But in my judgment the real injury to the champagne houses' goodwill comes under a different head and although the judge refers to Mr Sparrow [the plaintiff's counsel] putting the point in argument, he does not deal with it specifically or give a reason for its undoubted rejection by him. Mr Sparrow had argued that if the defendants continued to market their product, there would take place a blurring or erosion of the uniqueness that now attends the word 'champagne', so that the exclusive reputation of the champagne houses would be debased. He put this even more forcefully before us. He submitted that if the defendants are allowed to continue to call their product Elderflower Champagne, the effect would be to demolish the distinctiveness of the word champagne, and that would inevitably damage the goodwill of the champagne houses.

p. 346

↵ In the *Advocaat* case at first instance ([1980] RPC 31 at 52) Goulding J held that one type of damage was 'a more gradual damage to the plaintiffs' business through depreciation of the reputation that their goods enjoy'. He continued:

Damage of [this] type can rarely be susceptible of positive proof. In my judgment, it is likely to occur if the word 'Advocaat' is permitted to be used of alcoholic egg drinks generally or of the defendants' product in particular.

In the House of Lords in that case Lord Diplock referred to that type of damage to goodwill as relevant damage, which he described as caused 'indirectly in the debasement of the reputation attaching to the name "advocaat"' ([1979] AC 731 at 740).

In *Vine Products Ltd v MacKenzie & Co Ltd* [1969] RPC 1 at 23 Cross J, commenting with approval on the decision of Danckwerts J in *Bollinger v Costa Brava Wine Co Ltd (No 2)* said:

[Danckwerts J] thought, as I read in his judgment, that if people were allowed to call sparkling wine not produced in Champagne 'Champagne', even though preceded by an adjective denoting the country of origin, the distinction between genuine Champagne and 'champagne type' wines produced elsewhere would become blurred; that the word 'Champagne' would come gradually to mean no more than 'sparkling wine'; and that the part of the plaintiffs' goodwill which consisted in the name would be diluted and gradually destroyed.

[Peter Gibson LJ then identified later cases in both Australia and New Zealand which had approved Danckwerts J's approach in the 'champagne' case to the blurring of its distinctive name. He continued:]

At p. 670:

It seems to me inevitable that if the defendants, with their not insignificant trade as a supplier of drinks to Sainsbury and other retail outlets, are permitted to use the name Elderflower Champagne, the goodwill in the distinctive name champagne will be eroded with serious adverse consequences for the champagne houses.

In my judgment therefore the fifth characteristic identified in the *Advocaat* case is established. I can see no exceptional feature to this case which would justify on grounds of public policy withholding from the champagne houses the ordinary remedy of an injunction to restrain passing off. I would therefore grant an injunction to restrain the defendant from selling, offering for sale, distributing and describing, whether in advertisements or on labels or in any other way, any beverages, not being wine produced in Champagne, under or by reference to the word champagne. That injunction, I would, emphasise, does not prevent the sale of the defendants' product, provided it is not called champagne.

[Both Mann LJ and Lord Bingham MR concurred that the claimants would suffer sufficient damage, both to their goodwill and to the exclusivity of their name.]

Mann LJ, at pp. 673–4:

Their case was and is, that the word 'Champagne' has an exclusiveness which is impaired if it is used in relation to a product (particularly a potable product) which is neither Champagne nor associated or connected with the businesses which produce Champagne. The impairment is a gradual debasement, dilution or erosion of what is distinctive.

...

The consequences of debasement, dilution or erosion are not demonstrable in figures of lost sales but that they will be incrementally damaging to goodwill is in my opinion inescapable. On this basis I would grant injunctive relief as claimed.

↩ **Bingham LJ, at p. 678:**

Any product which is not Champagne but is allowed to describe itself as such must inevitably, in my view, erode the singularity and exclusiveness of the description Champagne and so cause the first plaintiffs damage of an insidious but serious kind.

As we have seen, Peter Gibson LJ had cited a number of cases, including previous drinks cases, to support his finding that damage to the exclusivity of the claimant's name fell within the parameters of a passing off action. However, this view was not shared by Millett LJ in *Harrods*. He took the view that, following the 'Elderflower champagne' case, the law of passing off was in danger of operating in areas which he for one found inappropriate. He first looked at traditional heads of damage, loss of sales and damage to reputation. He went on:

p. 347

Millett LJ, at p. 715:

In *Taittinger SA v Allbev Ltd* [1993] FSR 641 the court appears to have recognised a different head of damage. If the defendants were allowed to market their product under the name Elderflower Champagne

there would take place a blurring or erosion of the uniqueness that now attends the word 'champagne', so that the exclusive reputation of the champagne houses would be debased. (per Peter Gibson LJ at page 669)

It is self-evident that the application of the plaintiff's brand name to inferior goods is likely to injure the plaintiff's reputation and damage his goodwill if people take the inferior goods to be those of the plaintiff. That is a classic head of damage in cases of passing off. But Peter Gibson LJ may have had more in mind than this. He referred without disapproval to the submission of counsel for the plaintiffs that if the defendants were allowed to continue to call their product Elderflower Champagne 'the effect would be to demolish the distinctiveness of the word champagne, and that would inevitably damage the goodwill of the champagne houses'.

This is a reference to the debasement of the distinctiveness of the name champagne which would occur if it gradually came to be used by the public as a generic term to describe any kind of sparkling wine. Erosion of the distinctiveness of a brand name has been recognised as a form of damage to the goodwill of the business with which the name is connected in a number of cases, particularly in Australia and New Zealand; but unless care is taken this could mark an unacceptable extension to the tort of passing off. To date the law has not sought to protect the value of the brand name as such, but the value of the goodwill which it generates; and it insists on proof of confusion to justify its intervention. But the erosion of the distinctiveness of a brand name which occurs by reason of its degeneration into common use as a generic term is not necessarily dependent on confusion at all. The danger that if the defendant's product was called champagne then all sparkling wines would eventually come to be called champagne would still exist even if no one was deceived into thinking that such wine really was champagne. I have an intellectual difficulty in accepting the concept that the law insists upon the presence of both confusion and damage and yet recognises as sufficient a head of damage which does not depend on confusion. Counsel for the plaintiffs relied strongly on the possibility of damage of this nature, but it is in my opinion not necessary to consider it further in the present case. There is no danger of 'Harrods' becoming a generic term for a retail emporium in the luxury class, and if such a danger existed the use of a different name in connection with an institution of a different kind would not advance the process.

p. 348 ↩ Millett LJ observed that he was uncomfortable with a head of damage in passing off which did not rely on a misrepresentation, but rather on a simple association made by the public between the name of the claimant's product and that of the defendant's, which might damage the exclusivity of the former. In his dissenting judgment in the same case, Sir Michael Kerr showed no such reservations. He noted, for example,

that Harman J in the High Court appears to have given ‘no or insufficient weight to the fact that a trader’s distinctive name can in some cases in itself form part of its goodwill and constitute a property interest, and that this is the position here’. He then considered the issue of damage.

Sir Michael Kerr, at p. 724:

The standard remedy in passing-off actions is an injunction; an account to assess damages is rare. In the great majority of cases the relevant damage will not be measurable in pounds and pence, but consist in the probability of damage to the plaintiff’s reputation and goodwill which is ultimately liable to lead indirectly to a reduction in trade. Loss of distinctiveness causes damage to a reputation for excellence, and loss of trade will ultimately follow. The authorities show two relevant propositions in this regard. First, a debasement or dilution of the plaintiff’s reputation, as the result of the action of the defendant, is a relevant head of damage. Secondly, if the act which constitutes the passing-off has the effect of raising in people’s minds the mistaken belief of a connection between the defendant and the plaintiff, but which is in fact non-existent, then the court will have regard to the fact that the plaintiff has, to that extent, lost control of his reputation, and that he has therefore suffered damage to his goodwill by a potentially injurious association with the defendant against which the court will protect him by injunction.

A number of passages bear out these propositions. Inevitably, the factual contexts were different, but the aspects of principle are not open to question.

[Sir Michael Kerr then quoted approvingly the comments of Peter Gibson LJ, Bingham LJ, and Mann LJ in the ‘Elderflower champagne’ case in which each recognized loss of distinctiveness in the name champagne as a head of damage. He continued:]

At p. 725:

In fairness to the defendants, it cannot of course be said in the present case that a similar consequence [to those] would necessarily follow, and indeed it is greatly to be hoped that this would not be the case. But that is not the test. The crucial point, as stated in the second of the foregoing propositions, is the plaintiff’s inevitable loss of control of his reputation and the consequent risk of damage to it.

Later decisions show that Lord Justice Millett’s suspicion of this apparent extension to passing off has not been generally shared by the judiciary. Indeed, it is Sir Michael Kerr’s judgment which proved to be more prescient in terms of the future direction of passing off. Since *Harrods*, judges have accepted ‘dilution’ as a legitimate head of damage.¹⁰¹ However, it remains an outlier in passing off cases more generally.

p. 349 A number of commentators have viewed the use of passing off to protect against the erosion (or dilution) of the distinctive nature of a claimant’s sign as a worrying extension ↵ of the tort, not least because it appears to favour the trader with a powerful brand. Thus, Hazel Carty in her article ‘Dilution and passing off: cause for concern’¹⁰² suggests that introducing dilution into passing off without adequately defining its remit would be ‘dangerous’.

This is because, according to Carty, protecting the advertising function of a mark through passing off will not serve consumers' interests, since consumer loyalty will become tied to the brand and not to the qualities of the goods to which it attaches. Indeed, she goes further to suggest that allowing 'dilution' into passing off may actually be a way of protecting a trader against misappropriation or unjust enrichment. Thus, she quotes Sir Thomas Bingham in *Taittinger* which was ostensibly about lost sales and dilution, to the effect that it would be unfair to allow others to 'cash in on the reputation they have done nothing to establish'. She concludes that raising the question of whether competition is fair or unfair in a passing off action undermines the rationale of the tort, which is primarily to promote efficient competition for the benefit of consumers.

5.2.5.5 Passing Off and Misappropriation

The idea that passing off recognizes misappropriation as a head of damage or indeed should do so, as was suggested by Bingham LJ's comment in *Taittinger*, is a controversial one. Misappropriation can occur without a misrepresentation and will not necessarily damage the trader's goodwill. For example, it could be argued that in the *Taittinger* case what was at issue was not loss of sales, which in any event would have been nugatory, and not even (or not only) the 'dilution' of the exclusivity of the name 'champagne' but rather the fact that, by mimicking the packaging and the name, the defendants were appropriating that exclusivity for themselves. Similarly, it is possible to argue in cases of reverse passing off, that there is unlikely to be any damage to the claimant but there will be advantage taken by the third party who presents the claimant's goods as its own.¹⁰³ This has led some to argue that judges have in practice often recognized misappropriation as a basis for a finding of passing off despite the claims, for example, of Jacob LJ in *L'Oréal v Bellure*,¹⁰⁴ that passing off is not a law of unfair competition.¹⁰⁵ However, others such as Carty are unsympathetic to suggestions that passing off should extend to encompass misappropriation or even dilution. She would prefer passing off not to inhibit competition, since she takes the view that unfettered competition generally benefits consumers through providing more choice and lower prices. Conversely, she believes that remedies against dilution and misappropriation would primarily benefit traders at the expense of consumers' interests. In the following article, Carty argues for a return to the 'classic trinity' in passing off. She begins by identifying the 'classic trinity' for a passing off action as identified in 'Jif Lemon' and its importance to a passing off action.

p. 350 **H. Carty, 'Passing off: frameworks for liability debated' (2012) *Intellectual Property Quarterly* 106 at 107–110**

Strict classic trinity

The classic trinity reveals that the only valuable intangible that the tort protects is 'goodwill', the property interest identified at the heart of the tort by the House of Lords in *Spalding v Gamage*. Goodwill involves an existing customer connection in this jurisdiction that is valuable because it attracts and retains a customer base: hence Lord Eldon's assertion that it was 'the value of that probability that the old customers will resort to the old place'. So customer connection is based on the market familiarity with or the perceived quality of 'the old place'. This means that for the strict classic trinity goodwill has to be seen as a vehicle for information, not merely a vehicle for persuasion (a point reinforced by the need for materiality, discussed below). Thus care must be taken when applying the classic definition of goodwill, taken from Lord Macnaghten's speech in a tax case, *Inland Revenue Commissioners v Muller & Co's Margarine Ltd*. That definition of goodwill as 'the benefit and advantage of the good name, reputation and connection of a business ... the attractive force that brings in custom' has to be read as a whole to appreciate that goodwill is about customer connection, not simply reputation per se or its equivalents. Case law reveals that customer connection is not simply market recognition/reputation; an attractive name; or brand 'aura'.

And of course within the framework of the trinity, goodwill is only protected against misrepresentations (regardless of fault). To be relevant the misrepresentation must involve the defendant referencing the claimant's goodwill in his (the defendant's) own trade—hence the name 'passing off'—and in so doing misinforming consumers. This linkage between the misrepresentation and goodwill and misrepresentation and consumer information requires that to be actionable a misrepresentation must be material in two senses. First, it must be material to customers in making their market choices: they base their decision on the referencing of the claimant's goodwill. Secondly, that effect on consumer choice must be in a way that is harmful to the claimant's existing customer connection. As Jacob J. noted in *Hodgkinson & Corby Ltd v Wards Mobility Services Ltd* [1995] F.S.R. 169 Ch D, 'there is no tort of making use of another's goodwill as such'.

Of course the most obvious way that a misrepresentation could be so material in both senses is where it causes customer confusion as to source. But the tort does not focus on confusion: a lack of confusion does not rule out the presence of a material misrepresentation and not all confusing misrepresentations are material misrepresentations. Nor is it limited to source misrepresentations: material misrepresentations—those that reference the claimant's goodwill and shape customer choice—may relate to quality, a connection or a distinctive product rather than source per se. The strict classic trinity simply requires that the defendant's misrepresentation lead (or be likely to lead) to a material reliance by the customer *and* that reliance be likely to harm the claimant's customer connection. By so doing it helps to protect the market information passing between trader and consumer, but it does not as such serve to protect the persuasive effect (subliminal or otherwise) of reputation or aura. And the trinity framework means that only damage to the valuable intangible being protected is relevant. There must be harm to customer connection, though a likelihood of harm suffices. And such damage must be real rather than speculative. In *Stringfellow v McCain Foods (GB) Ltd* the claimant's famous night club was referenced in advertising by the defendant frozen chips manufacturer. However, despite the possible consumer misassociation between the parties the Court of Appeal found there to be no likely harm: the claimant's argument that he might begin merchandising the club name in the future and might be prejudiced was ↵ rejected as 'pure speculation'. Thus recently the Singapore Court of Appeal in *Novelty Pte Ltd v Amanresorts Ltd* stressed that the requirement of harm should not be 'rendered otiose' and applied a test of 'real tangible risk of substantial damage'.

A real risk of damage may arise from possible harm to the claimant's goodwill by tarnishing the reputation behind it or through lost sales. However, free riding or 'unfair advantage' is not damage. For this reason the strict classic trinity demands that 'dilution' be rejected as a spurious head of damage. The theory behind it—that unauthorised referencing will erode the exclusivity of a mark—is controversial (even under its own terms dilution is not claimed to affect the information passing between trader and consumer) and unsubstantiated (as a head of damage it is revealingly often alluded to as 'insidious' or 'subtle' harm to the claimant's goodwill). It has no place within the classic trinity as such. In reality 'dilution' (or the equivalent allegations of *speculative* lost licensing or control opportunities) is the label offered to the courts when in fact 'misappropriation' is the heart of the claimant's complaint. So though Laddie J. cited erosion as the harm in *Irvine v Talksport*, he also referred to the defendant 'squatting' and taking the 'lustre' of the famous claimant in order to enhance 'the attractiveness of the product to the target audience'.

Thus the classic trinity—as strictly applied in *Mars v Burgess Group*; *Bulmer v Bollinger*; *Harrods v Harrodian School*—only protects the claimant's existing customer connection against real harm inflicted by the defendant's misrepresentation which draws on the claimant's goodwill. And what is clear (despite Davis's assertion otherwise) is that the two modern variants of the tort—extended passing off and inverse passing off—are capable of falling within this strict classic trinity frame.

[Carty sees the 'strict classic trinity' as superior to passing off which recognizes misappropriation. She concludes at 121:]

The classic trinity—linking misrepresentation, goodwill and damage by the cement of materiality—protects successful claimants where it is in the public interest so to do. (Indeed failing to protect goodwill against harmful misrepresentations ‘would have serious negative consequences in the commercial marketplace’.) It protects information not persuasion per se, does not encourage litigation over competition and requires more than moral opprobrium to set the ground rules for the rat race of competition. The strict classic trinity is a clever mechanism that combines the claimant’s interests, the consumers’ interests and the public interest. Thus this cautious framework avoids taking the common law into areas best suited to legislation: namely competition rules, consumer laws and intellectual property rights. And it means that not all appropriations, imitations, referencing of the market leader, attention-grabbing on the back of the claimant’s success or riding on the brand leader’s coat-tails will give rise to liability. Correctly applied, this tort does not seek to protect the psychological ‘pull’ or commercial magnetism of a name—though that is what the big brands seek. Nor does it seek to protect the psychological ‘glow’ of consumer lifestyle choices—what Davis terms their ‘investment’ in the aura or exclusivity offered by the ‘real thing’. The tort is seen as having a limited constructive part to play in the process of regulating competitive practices.

p. 352 Given the enormous value of many trade marks and their significant role in the global economy, it is perhaps unsurprising that the tort of passing off has evolved to give such marks additional protection. In her article, Carty suggests that the primary purpose of passing off is not to protect the interests of traders in this way but rather to protect the interests of consumers who both benefit from unrestricted competition and who may be confused. Yet is it not a fact that unlike statutes aimed at protecting consumers, a passing off action brought by one trader against another will inevitably have as its goal the protection of the interests ↵ of the claimant? Of course, it is also true that the court must balance the claimant’s interests against the legitimate interests of the defendant. However, it would seem to follow that in passing off cases, consumers’ interests will play an important but not a central role in this balancing exercise.

Further Reading

P. Charleton and S. Reilly, ‘Passing off: an uncertain remedy—Part 2’ (2015) 20 Bar Review 116.

J. Davis, ‘Why the United Kingdom should have a law against misappropriation’ (2010) 69 Cambridge Law Journal 561.

C. W. Ng, ‘The law of passing off—goodwill beyond goods’ (2016) 47 International Review of Intellectual Property and Competition Law 817

C. Wadlow, ‘Passing off at the crossroads again, a review article for Hazel Carty: an Analysis of the Economic Torts’ (2011) 33 EIPR 447.

5.3 Defences

The three most common defences in passing off are:

- (1) delay or acquiescence;

- (2) bona fide use of the defendant's own name;
- (3) concurrent use.

5.3.1 Delay or Acquiescence

If a claimant delays in bringing an action for passing off, it does not forfeit its right to do so as long as the alleged passing off is continuing. However, such delay may bring other unwelcome consequences. The claimant may be unlikely to succeed in obtaining an interim injunction. Or the defendant may have built up its own goodwill in the product or services which is independent of the claimant. Thus, in *DaimlerChrysler AG v Alavi*,¹⁰⁶ the claimant was the owner of the Mercedes-Benz motor car company. The claimant's car was often referred to by the term, 'Merc'. The defendant owned a clothes shop called 'Merc' and also sold clothes under the name 'Merc', and had been doing so since 1967. DaimlerChrysler had registered trade marks for both 'Mercedes' and 'Merc' for, inter alia, clothing. It sued Alavi for both passing off and trade mark infringement. The claim for passing off failed. The court held that there had been no deception by the defendant, because by 1975 the defendant had established its own goodwill trading under the name 'Merc'. In the more recent case of *Blinkx UK Ltd v Blinkbox Entertainment Ltd*,¹⁰⁷ the defendant and the claimant had rival internet businesses. The claimant started its business in 2004 and the defendant three years later. However, p. 353 the claimant waited a further two years before bringing an action for passing off. In light of this delay, Floyd J refused to grant the claimant an interim injunction. He noted that 'the defendant's business has grown from very small beginnings to a very substantial one during the period of the delay'.¹⁰⁸ And he concluded:

28. ... Had the claimant acted promptly while the defendant's business was still in its trial phase, the balance of convenience might have favoured an injunction. But two years later it seems to me that the position has reversed. If one asks whether I should permit a short further period of coexistence or stop all use of the name by the defendant except within the narrow confines proposed, I come down very heavily in favour of the former. Whichever way one looks at the matter, I consider that the claimant's delay here is fatal to the grant of interim relief, and I dismiss the application.¹⁰⁹

In some circumstances, the court may take the claimant's delay in bringing an action as evidence of acquiescence to the defendant's conduct, particularly if the defendant has altered its position in reliance on the claimant's action or on its failure to act, or on a representation by the claimant that 'would make it inequitable for the claimant to enforce his rights'.¹¹⁰ Acquiescence was found by the Court of Appeal in *Habib Bank v Habib Bank AG Zurich*.¹¹¹ However, the court did not find acquiescence in the 'Merc' case. According to Pumfrey J:

It is an essential component in a defence of acquiescence that the failure of the plaintiff to act should have induced the defendant to believe that the wrong was being assented to. But in this case there was no such reliance by Mr Alavi ... in any event, DaimlerChrysler (or their predecessors) were not aware of his trading activities until 1997. These facts cannot support a plea of acquiescence. But the period of trading is long. Had I found that Mr Alavi had infringed one or more of the Mercedes marks, but that there was no passing off, and that there had been no damage, perhaps the question of delay should have to be considered in the context of relief. But the question does not arise. This defence fails.¹¹²

5.3.2 Bona Fide Use of the Defendant's Own Name

Use by a defendant of his own name may provide a defence in passing off, but it is a narrow one. For example, the defence has never been held to apply to names of new companies 'as otherwise a route to piracy would be obvious'.¹¹³ The limited nature of this defence was confirmed by the Court of Appeal in *Reed Executive v Reed Business Information*.

***Reed Executive Plc v Reed Business Information Ltd* [2004] EWCA Civ 159, [2004] RPC 40**

p. 354 The claimants had operated employment agencies since 1960 and recently through a website, 'reed.co.uk'. They had a registered trade mark 'Reed' for employment agency services since 1996. The defendants published, inter alia, business and science journals and magazines and had used the word Reed in relation to their business since 1983. In 1999, the defendants started their own website, totaljobs.com, which, inter alia, advertised jobs which had traditionally been advertised in the journals. Initially, the names 'Reed Elsevier' and 'Reed Business Information' logos appeared on the website. Furthermore, the word Reed was used as a metatag for the website and as a reference word for a variety of web advertising, although none of the advertisements actually used the word Reed. In addition, the Yahoo search engine linked the search terms 'recruitment' and 'job' to the totaljobs.com website and Yahoo gave the defendants free use of their own name. The name Reed was chosen by Yahoo rather than Reed Elsevier. There was some minor evidence of confusion, in the form of enquiries being made to the claimants about jobs advertised by the defendants on their website. By the date of the trial, the only use of Reed on the defendants' website was to be found in the use of the name Reed Business Information Ltd in the copyright notices on the site and the Reed Business Information logo, which was on the home page. The claimants sued for both trade mark infringement and passing off. In relation to the latter, the defendants argued both that there was no actionable misrepresentation and in addition that they had a defence of bona fide use of their own name. Although the Court of Appeal found that there had been neither trade mark infringement nor passing off, Jacob LJ did go on to examine the scope of the own name defence in passing off.

Jacob LJ:

The own name defence to passing off

109. It is long and well settled that it is no defence to passing off that the defendant has or had no intention to deceive. It is also settled that there is only a very limited own name defence. It was put this way by Romer J in *Rodgers v Rodgers* (1924) 41 RPC 277, a passage approved by the majority of the House of Lords in *Parker-Knoll v Knoll International* [1962] RPC 265:

To the proposition of law that no man is entitled to carry on his business in such a way as to represent that it is the business of another, or is in any way connected with the business of another, there is an exception, that a man is entitled to carry on his business in his own name so long as he does not do anything more than that to cause confusion with the business of another, and so long as he does it honestly. To the proposition of law that no man is entitled so to describe his goods as to represent that the goods are the goods of another, there is no exception.

110. Thus the English law of passing off abounds with cases where people have been prevented from using their own name. This particularly happens when a scion of some well-known family business has sought to cash in on his name at the expense of that business, as for instance *Dunhill* (*Dunhill v Sunoptic* [1979] FSR 426), *Gucci* (*Guccio Gucci v Paulo Gucci* [1991] FSR 81) and *Asprey* (*Asprey & Garrard v WRA (Guns)*) [2002] FSR 31).

111. I have already observed that the difference between mere confusion and deception is elusive. I suppose the sort of background non-damaging confusion in this case might be the sort of thing Romer J had in mind. Once the position strays into misleading a substantial number of people (going from 'I wonder if there is a connection' to 'I assume there is a connection') there will be passing off, whether the use is as a business name or a trade mark on goods.

112. The Judge rightly observed that the passing off defence is narrow. Actually no case comes to mind in which it has succeeded. Because the test is honesty, I do not see how any man who is in fact causing deception and knows that to be so, can possibly have a defence to passing off.

113. Thus in this case if RBI had been causing significant deception, the fact that it was using its own name would have afforded no defence to the passing off claim, even though it had no intention to deceive. That is the admitted position as regards Version 1. But in relation to later versions there is at best no more than some minimal degree of confusion—significant deception is not shown and so, narrow though it is, I think RBI come within Romer J's exception.

The own name defence in registered trade mark actions has proved more effective.¹¹⁴ Do you think that the courts are interpreting this defence too narrowly? After all, the idea that there may be a defence in passing off which has never been known to succeed is an interesting one.

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5.3.3 Concurrent Use

This defence arises when two or more traders have acquired the right to use the same name or indicia. Although such concurrent use may initially have caused confusion, it is also the case that if the trader with the earlier right does not take action, then the public may come, over time, to distinguish between them. Cases where the courts have found concurrent use, where both parties have a right to use the name, include the 'Hit Factory', 'Merc', and 'Reed' cases.¹¹⁵ In *Woolley v Ultimate Products*,¹¹⁶ the claimant sold watches under the name 'Henley' and the defendant sold clothing under the name 'Henleys'. Arden LJ in the Court of Appeal accepted that both the defendant and the claimant had acquired goodwill distinguished by their respective names through concurrent use. However, the defendant's goodwill attached to its clothing products, not to the watches which it had begun selling under the name 'Henleys'. The defendant did not have a defence to passing off.

5.4 Conclusion

p. 356 It was suggested at the beginning of this chapter, that the UK does not have a general law of unfair competition. In its absence, the tort of passing off has provided the most important recourse for traders who believe they have been subjected to unfair trade practices by their rivals. Consumer protection has generally been left to other areas of the law. The recognition by the courts in passing off cases of damage to a trader's goodwill through dilution underscores the emphasis of the tort on protecting traders' interests. In this respect, in recent years the protection given to a mark or other identifying insignia by passing off has moved closer to that given by trade mark registration. But the substantial differences between these two actions remain important. Passing off has often offered protection to the distinctive get-up by which products and services are identified which would not necessarily be registrable as a trade mark. Furthermore, as trade mark registration has become increasingly international, passing off is also offering traders' insignia domestic protection when its international protection comes under threat. The differences and overlaps between registered trade marks and passing off will be considered in the following chapters.

Further Reading

K. Stephens, Z. Fuller, and H. Atherton, 'Passing off: honest concurrent use' (2013) 42 *Chartered Institute of Patent Attorneys Journal* 212.

J. Strath, 'Keywords plunge bidders into hot water, but is "honest concurrent use" a watertight defence?' (2017) 23 *Computer and Telecommunications Law Review* 44.

C. Wadlow, 'The own-name defence in passing-off: six pennyworth of thoughts from the other side' (2011) 1 *Queen Mary Journal of Intellectual Property* 130.

Notes

¹ *Reckitt & Coleman Products Ltd v Borden Inc. (No. 3)* [1990] 1 WLR 491, 499.

² *Erven Warnink BV v J. Townend & Sons (Hull) Ltd* [1979] AC 731.

³ *Perry v Truefitt* (1842) 6 Beav 66, per Lord Langdale MR.

⁴ *Spalding & Bros v A. W. Gamage* (1915) 84 LJ Ch 449.

⁵ *Harrods Ltd v R. Harrod Ltd* (1924) 41 RPC 74.

⁶ See 5.2.1.8.

⁷ [2003] 1 All ER 137.

⁸ *L'Oréal v Bellure* [2007] EWCA Civ 968, [160]–[161].

⁹ See 1.3.2.3.

¹⁰ *L'Oréal SA v Bellure NV* [2007] EWCA Civ 968. The trade mark aspects of this case will be considered in detail in the following three chapters.

¹¹ [160].

¹² [2013] EWCA Civ 1465.

¹³ [1901] AC 217.

¹⁴ See 5.2.2.4.

¹⁵ *Anheuser-Busch Inc. v Budějovický Budvar NP* [1984] FSR 413.

¹⁶ At p. 470. See also *The Athletes' Foot Marketing Associates Inc. v Cobra Sports Ltd* [1980] RPC 343.

¹⁷ [1967] RPC 581.

¹⁸ *Pete Waterman Ltd v CBS United Kingdom Ltd* [1993] EMLR 27.

¹⁹ [116].

²⁰ [17].

²¹ [49]–[50].

²² D. Brophy, 'Case comment: The Supreme Court decision in *Starbucks (HK) v British Sky Broadcasting*: is that crazy horse still running?' (2015) 37 *European Intellectual Property Review* 661, 665.

²³ [2003] EWHC 1322 (Ch). For an unsuccessful action see *Martinez v Prick Me Baby One Last Time Ltd* [2018] EWHC 776 (IPEC).

²⁴ *Clock v Clock House Hotel* (1936) 53 RPC 269 (CA); *Associated Newspapers v Express Newspapers*.

²⁵ *My Kinda Bones v Dr Pepper* [1984] FSR 289.

²⁶ *Star Industrial Co. Ltd v Yap Kwee Kor* [1976] FSR 256.

²⁷ [2010] EWHC 443 (Ch).

²⁸ [80].

²⁹ H. Carty, 'The dissipation of goodwill in the tort of passing off: an analysis' (2015) 3 *Intellectual Property Quarterly* 177.

³⁰ [2007] EWHC 2376 (Ch).

- ³¹ *Sutherland v V2 Music Ltd* [2002] EWHC 14 (Ch).
- ³² See e.g. Lord Diplock in 'Advocaat'.
- ³³ *Clark v Associated Newspapers Ltd* [1998] 1 WLR 1558.
- ³⁴ *Henderson v Radio Corp'n Pty Ltd* [1969] RPC 218.
- ³⁵ *Irvine v Talksport Ltd* [2002] 1 WLR 2355.
- ³⁶ *Society of Accountants and Auditors v Goodway & London Association of Accountants Ltd* [1907] Ch 489.
- ³⁷ *Law Society of England and Wales v Society of Lawyers* [1996] RSR 739.
- ³⁸ *British Legion v British Legion Club (Street) Ltd* (1931) 48 RPC 555.
- ³⁹ *Cranford Community College v Cranford College Ltd* [2014] EWHC 2999 (IPEC).
- ⁴⁰ *Burge v Haycock* [2001] EWCA Civ 900, [2002] RPC 28.
- ⁴¹ Brooke LJ distinguished this case from *Kean v McGivan* [1982] FSR 119, where the claimant also ran a political party, which was held to be not sufficiently known to have the necessary goodwill.
- ⁴² [1976] FSR 256.
- ⁴³ [2012] EWHC 2230 (Ch).
- ⁴⁴ [2004] EWHC 630 (Ch), [2004] RPC 36.
- ⁴⁵ H. Carty, 'Dilution and passing off: cause for concern' (1996) 112 Law Quarterly Review 632–66.
- ⁴⁶ *Bollinger v Costa Brava Wine Co. Ltd* [1960] Ch 262.
- ⁴⁷ *Vine Products v Mackenzie* [1969] RPC 1.
- ⁴⁸ *John Walker & Sons Ltd v Douglas McGibbon & Co.* [1975] RPC 506.
- ⁴⁹ *Chocosuisse Union des Fabricants Suisse de Chocolat v Cadbury Ltd* [1998] RPC 117 (HC); [1999] RPC 286 (CA) ('the Swiss Chalet case').
- ⁵⁰ *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury Ltd* [1998] ETMR 205.
- ⁵¹ *Fage UK Ltd v Chobani UK Ltd* [2014] EWCA Civ 5.
- ⁵² *NOCN (formerly National Open College Network) v Open College Network Credit4Learning* [2015] EWHC 2667 (IPEC).
- ⁵³ *Military Mutual Ltd v Police Mutual Assurance Society Ltd & Others* [2018] EWHC 1575 (IPEC).
- ⁵⁴ *Edge (William) & Sons Ltd v William Niccolls & Sons Ltd* [1911] AC 693 (HL).
- ⁵⁵ At the time, a shape could not be registered as a trade mark. The 1994 Trade Mark Act allowed the registration of shapes.
- ⁵⁶ *Société des Produits Nestlé SA v Cadbury UK Ltd* [2017] EWCA Civ 358.
- ⁵⁷ For a discussion of the case, see Chapter 6.
- ⁵⁸ *Moroccan Oil Israel Ltd v Aldi Stores Ltd* [2014] EWHC 1686 (IPEC), [30]–[31].
- ⁵⁹ [1896] AC 199.

⁶⁰ *Taittinger SA v Allbev Ltd* [1993] FSR 641 (the ‘Elderflower champagne’ case).

⁶¹ [2002] FSR 5.

⁶² p. 48.

⁶³ [2010] EWHC 2599 (Ch).

⁶⁴ [80].

⁶⁵ *Argos Ltd v Argos Systems Inc.* [2017] EWHC 231 (Ch); see also *Moraccanoil Israel Ltd v Aldi Stores Ltd* [2014] EWHC 1686 (IPEC).

⁶⁶ *Interflora Inc. and another v Marks & Spencer plc (No. 5)* [2014] EWCA Civ 1403.

⁶⁷ *Cadbury-Schweppes Pty Ltd v The Pub Squash Co.* [1981] 1 WLR 193.

⁶⁸ *HFC Bank plc v HSBC Bank plc* [2000] FSR 176.

⁶⁹ *Clark v Associated Newspapers Ltd* [1998] 1 WLR 1558.

⁷⁰ *Clark v Associated Newspapers Ltd*, p. 1566.

⁷¹ *Chocosuisse Union des Fabricants Suisses de Chocolat v Cadbury Ltd* [1998] RPC 117

⁷² *Arsenal Football Club plc v Reed* [2001] RPC 46, [24].

⁷³ [2014] EWHC 1686 (IPEC).

⁷⁴ [45].

⁷⁵ *Neutrogena Corp. and another v Golden Ltd and another* [1996] RPC 473, at 482.

⁷⁶ *Interflora Inc. v Marks & Spencer* [2012] EWCA Civ 1501 (*Interflora I*); *Interflora Inc. v Marks & Spencer* [2013] EWCA Civ 319 (*Interflora II*). For a discussion of the trade mark issues, see 7.2.2.4.

⁷⁷ *Zee Entertainment Enterprises v Zeebox (CA)*, [84].

⁷⁸ [25].

⁷⁹ [64].

⁸⁰ The trade mark aspects of this case will be examined in Chapter 8.

⁸¹ See *National Guild of Removers & Storers Limited v Bee Moved Limited, Nicholas Anthony Burns, Oliver Christopher Robert Sampson* [2018] EWCA 1302 (Civ) where the defendant had no knowledge of the offending representation and was found not to have passed off its services.

⁸² It should be noted that the need to show a common field has had greater longevity in cases involving character merchandising. See Chapter 10.

⁸³ This will be considered again in Chapter 10.

⁸⁴ This will be considered in Chapter 10.

⁸⁵ *Gillette Safety Razor v Diamond Edge* (1926) 43 RPC 310.

⁸⁶ *Primark Stores Ltd v Lollypop Clothing Ltd* [2001] FSR 637.

⁸⁷ *Dawnay Day & Co. Ltd v Cantor Fitzgerald International* [2000] RPC 669 (CA).

⁸⁸ [1989] RPC 455.

⁸⁹ p. 464.

⁹⁰ H. Carty, 'Inverse passing off: a suitable addition to passing off?' (1993) 15 European Intellectual Property Review 370.

⁹¹ [1999] 1 WLR 903.

⁹² The defendant was also found liable for passing off, because those who checked to see who had registered the domain name would believe that One in a Million was associated in some way with Marks & Spencer.

⁹³ *Media Agency Group Limited, Transport Media Limited v Space Media Agency Limited & others* [2019] EWCA Civ 712.

⁹⁴ p. 499.

⁹⁵ *Stringfellow v McCain Foods (GB)* [1984] FSR 175, [1984] RPC 501; *Harrods*, per Millett LJ, at p. 714.

⁹⁶ [2020] WL 04342453, at 53.

⁹⁷ This will be discussed in relation to character merchandising in Chapter 10.

⁹⁸ This will be discussed in relation to personality merchandising in Chapter 10.

⁹⁹ *The Ukulele Orchestra of Great Britain v Erwin Clausen & Yellow Promotion GmbH & Co. Kg (t/a the United Kingdom Ukulele Orchestra)* [2015] EWHC 1772 (IPEC). For a more recent case, see *British Amateur Gymnastics Association v UK Gymnastics Ltd* [2021] EWCA Civ 425.

¹⁰⁰ [92].

¹⁰¹ See e.g. *Och-Ziff Management Europe v Och Capital LLP* [2010] EWHC 2599 (Ch), [158].

¹⁰² (1996) 112 Law Quarterly Review 632–66.

¹⁰³ *Bristol Conservatories Ltd v Conservatories Custom Build* [1989] RPC 455.

¹⁰⁴ [2007] EWCA Civ 968, [160].

¹⁰⁵ J. Davis, 'Why the United Kingdom should have a law against misappropriation' [2010] 69 Cambridge Law Journal 561.

¹⁰⁶ [2001] RPC 42.

¹⁰⁷ [2010] EWHC 1624 (Ch).

¹⁰⁸ See also *Fine and Country Ltd v Okotoks Ltd (formerly SpicerHaart Ltd)* [2012] EWHC 2230 (Ch).

¹⁰⁹ [28].

¹¹⁰ C. Wadlow, *The Law of Passing Off*, p. 790.

¹¹¹ [1981] 1 WLR 1265.

¹¹² p. 850.

¹¹³ *Asprey & Garrard Ltd v WRA (Guns) Ltd and Asprey* [2002] ETMR 47, per Peter Gibson LJ.

¹¹⁴ Jacob LJ also went on to examine the 'own name defence' in trade mark law and this will be examined in Chapter 8.

¹¹⁵ See also *Habib Bank v Habib Bank AG Zurich* [1981] 2 All ER 277.

¹¹⁶ [2012] EWCA Civ 1038.

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